

SUPERIOR COURT OF CALIFORNIA, CONTRA COSTA COUNTY
MARTINEZ, CA
DEPARTMENT 16
JUDICIAL OFFICER: BENJAMIN T REYES, II
HEARING DATE: 09/09/2026

**INSTRUCTIONS FOR CONTESTING TENTATIVE RULINGS
IN DEPARTMENT 16**

The tentative ruling will become the ruling of the Court unless by 4:00 P.M. of the Court day preceding the hearing, notice is given of an intent to argue the matter. Counsel or self-represented parties must email Department 16 (Dept16@contracosta.courts.ca.gov) to request argument and **must specify, in detail, what provision(s) of the tentative ruling they intend to argue and why**. Counsel or self-represented parties requesting argument must advise all other counsel and self-represented parties by no later than 4:00 P.M. of their decision to argue, and of the issues to be argued. Failure to timely advise the Court and counsel or self-represented parties will preclude any party from arguing the matter. (Pursuant to Local Rule 3.43(2).)

The prevailing party must prepare and e-file a proposed order after hearing in accordance with CRC 3.1312. The order must include appearances. If the tentative ruling becomes the Court's ruling, a copy of the Court's tentative ruling **must be attached to the proposed order** when submitted to the Court for issuance of the order.

ALL APPEARANCES TO ARGUE WILL BE IN PERSON OR BY ZOOM, PROVIDED THAT PROPER
NOTIFICATION IS RECEIVED BY THE DEPARTMENT AS PER ABOVE.

Zoom link-

<https://www.zoomgov.com/j/1619504895?pwd=N0V1N3JFRnJ0TEVoSDNrTGRzakF3UT09>

ID: 161 950 4895

Password: 812674

Courtroom Clerk's Session

1. 9:00 AM CASE NUMBER: C24-00633 CASE NAME: ELI HAZAN VS. VOLKSWAGEN GROUP OF AMERICA, INC. FILED BY: <u>*TENTATIVE RULING:*</u> This Case Management Calendar trails the hearing for Line 9. The parties are ordered to appear in person or remotely, unless the tentative ruling for Line 9 is uncontested. If uncontested, this CMC is continued to January 5, 2027 at 8:30 a.m. in Dept. 16

2. 9:00 AM CASE NUMBER: C24-01877 CASE NAME: ZACHARY MINOR VS. CRAIG HOWARD FILED BY: <u>*TENTATIVE RULING:*</u> This Case Management Calendar trails the hearing for Lines 23 and 24. The parties are ordered to appear in person or remotely, unless the tentative ruling for Lines 23 and 24 are uncontested. If
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uncontested, this CMC is continued to January 5, 2027 at 8:30 a.m. in Dept. 16.

3. 9:00 AM CASE NUMBER: C24-03035
CASE NAME: ABDUL LATIFI VS. SAMMAH ENTERPRISE INC

FILED BY:

TENTATIVE RULING:

This Case Management Calendar trails the hearing for Lines 14,15 and 17. The hearings for these motions are uncontested. This CMC is continued to January 5, 2027 at 8:30 a.m. in Dept. 16 at 8:30 a.m. All parties are ordered to appear in person or remotely via Zoom on January 5, 2027. No appearance is required at the hearing on September 9, 2026.

4. 9:00 AM CASE NUMBER: C25-00727
CASE NAME: PATRICIA WELLER VS. CALIFORNIA HEALTH AND HUMAN SERVICES AGENCY

FILED BY:

TENTATIVE RULING:

This Case Management Calendar trails the hearing for Line 16. The parties are ordered to appear in person or remotely, unless the tentative ruling for Line 16 is uncontested. If uncontested, this CMC is continued to January 5, 2027 at 8:30 a.m. in Dept. 16

5. 9:00 AM CASE NUMBER: C25-03757
CASE NAME: CATHAY BANK, VS. CHRISTINA SEELYE

FILED BY:

TENTATIVE RULING:

This Case Management Calendar trails the hearing for Line 18. The parties are ordered to appear in person or remotely, unless the tentative ruling for Line 18 is uncontested. If uncontested, this CMC is continued to January 5, 2027 at 8:30 a.m. in Dept. 16.

6. 9:00 AM CASE NUMBER: C26-00271
CASE NAME: EUNA EIM VS. JOSE LOPEZ

FILED BY:

TENTATIVE RULING:

This Case Management Calendar trails the hearing for Line 19. The parties are ordered to appear in person or remotely, unless the tentative ruling for Line 19 is uncontested. If uncontested, this CMC is continued to January 5, 2027 at 8:30 a.m. in Dept. 16.

Law & Motion

7. 9:00 AM CASE NUMBER: C22-00988
CASE NAME: NASREDDINE DAOUD VS. BAY AIR SYSTEMS, INC.
COMPLIANCE HEARING SET BY THE COURTROOM

FILED BY:

TENTATIVE RULING:

Summary

ORDER TO SHOW CAUSE

Class counsel is **ordered to appear** to show cause as set forth below.

This matter came before the Court on the Court's order for a compliance hearing regarding the Final Approval of Class Action Settlement entered on November 11, 2025. The Court having reviewed Plaintiff's compliance report, the declaration of Jarod Salinas of Phoenix Settlement Administrators filed on June 26, 2026, and all other papers and proceedings herein; and

The Court finding that Plaintiff has substantially complied with the Court's prior Orders, except that the declaration of Mr. Salinas fails to account for the five percent (5%) retention of attorney's fees held subject to release upon final compliance;

IT IS HEREBY ORDERED AS FOLLOWS:

1. Plaintiff's Counsel shall appear at the compliance hearing to show cause why the five percent (5%) retention of attorney's fees has not been accounted for in the compliance materials and to address the Court's inquiry regarding same. Such appearance may be made remotely unless otherwise directed by the Court.
2. If the Settlement Administrator has released the five percent (5%) retention of attorney's fees, the Court requests an explanation as to why the Settlement Administrator did not comply with the Court's order.

8. 9:00 AM CASE NUMBER: C23-02401
CASE NAME: KIARA ROSS VS. KOTLIER ERNEST M.
CROSS COMPLAINT FILED ON 12/12/2025 BY DOUG SMITH ET AL

FILED BY:

TENTATIVE RULING:

Before the Court is a demurrer by cross-defendants Doug Smith, Fuller Properties, LLC, and approximately 20 other entity cross-defendants to the cross-complaint by Sequoia Equities, Inc. and Alder Creek Management, Inc.. For the reasons set forth, the Court rules as follows: (a) general demurrers to cross-complaint in its entirety – **overruled**, as set forth below; (b) general demurrers to first and second causes of action – **sustained, as set forth below**; and (c) general demurrers to third, fourth, and fifth causes of action - **overruled**.

Background

This case involves a class action initiated by tenants of properties managed by defendants and cross-

complainants Sequoia Equities, Inc. and Alder Creek Management, Inc. (collectively for convenience, "Sequoia Parties"). The class plaintiffs initially sued the Sequoia Parties as well as dozens of entities alleged to be the owners/landlords of the properties subject to the tenants' claims asserted in the action. The claims in general terms allege that the tenants' security deposits and move out expenses at the termination of tenancies were mishandled and improperly documented and charged, among other things. In the operative first amended complaint filed April 8, 2024 (the "Ross Class Action FAC"), the scope of the class includes tenants whose tenancies terminated from September 25, 2019 to the present. (Ross Class Action FAC ¶ 77.) The parties in the main action have reached a settlement, subject to Court approval. The motion for preliminary approval of the class settlement, originally set for hearing on August 12, 2026, was continued to the date of the hearing on this demurrer.

After the Ross Class Action FAC was filed, on June 7, 2024, Fuller Properties, LLC and other owner/landlord entities (the "Fuller Plaintiffs" for convenience) filed their own complaint against the Sequoia Parties, initiating Case No. MSC24-01538 ("Fuller Action") pending in this Court. In the face of a demurrer to the original complaint, on November 14, 2024, the Fuller Parties filed a first amended complaint.

The parties in the Ross Class Action negotiated an agreement to dismiss the Fuller Plaintiffs from the Ross Class Action FAC without prejudice. The stipulation and order were filed on December 10, 2024.

On December 17, 2024, the Sequoia Parties answered the FAC in the Fuller Action. The Sequoia Parties moved to consolidate the Fuller Action with the Ross Class Action on June 26, 2025 (Cross-Def. RJN ¶ 2), but the motion was incorrectly filed and set for hearing before the department in the Fuller Action instead of the Ross Class Action, the lower-numbered case. The motion to consolidate was fully briefed with an opposition and reply by the initial hearing scheduled on the motion in the Fuller Action on October 13, 2025. However, the filing and briefing of the motion in the department with the higher numbered case (the Fuller Action) required a change in hearing dates to the correct department and re-filing of all the related motion papers in the Ross Class Action before the motion could be determined.

After the original motion to consolidate was filed and set for hearing, on October 14, 2025, the Sequoia Parties filed their cross-complaint in this action against Doug Smith, the alleged principal and alter ego of Fuller Properties, LLC and the other Fuller Plaintiffs, and against the Fuller Plaintiffs who are named as cross-defendants in this action ("Fuller Cross-Defendants" for clarity). (Smith and the Fuller Cross-Defendants are collectively referred to herein as the "Cross-Defendants" or the "demurring parties.")

The Sequoia Parties subsequently filed a motion for judgment on the pleadings on the Fuller FAC in the Fuller Action. That motion was granted in part on December 8, 2025. The Fuller Plaintiffs filed a second amended complaint in the Fuller Action ("Fuller 2AC") on December 23, 2025. The motion to consolidate was later denied by the Court without prejudice. (2/5/2026 Min. Order.)

The cross-complaint attaches 21 management agreements between the Sequoia Parties and the Fuller Cross-Defendants each dated December 27, 2021. (X-Compl. ¶¶ 48, 56.) The cross-complaint alleges causes of action for breach of contract, with separate counts for breach of express indemnity and breach of duty of defend (1st C/A), declaratory relief – contract (2nd C/A), equitable indemnity

(3rd C/A), contribution (4th C/A), and declaratory relief – tort (5th C/A). Cross-Defendants have filed general demurrers to each cause of action alleged in the Sequoia Parties' cross-complaint for failure to allege facts sufficient to state causes of action.

Legal Standards Governing Demurrer

In ruling on the demurrer, the Court must accept as true all well-pleaded factual allegations of the complaint, but not legal or factual conclusions or contentions of law. (*City of Dinuba v. County of Tulare* (2007) 41 Cal. 4th 859, 865; *Julian v. Mission Community Hospital* (2017) 11 Cal.App.5th 360, 374.) The Court gives "the complaint a reasonable interpretation, reading it as a whole and its parts in their context. [Citation omitted.]" (*Evans v. City of Berkeley* (2006) 38 Cal. 4th 1, 6.) (*See also* Code Civ. Proc. § 452.) In ruling on a demurrer, the Court also considers matters of which the Court can properly take judicial notice. (*Evans, supra*, 38 Cal.4th at 6; *Carloss v. County of Alameda* (2015) 242 Cal. App.4th 116, 123.)

In determining whether the complaint states a cause of action, the Court evaluates "whether a cause of action has been stated under any legal theory. [Citation omitted.]" (*Gomez v. Regents of University of California* (2021) 63 Cal.App.5th 386, 391.) (*See also Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38-39.) A demurrer must dispose of an entire cause of action. (*Daniels v. Select Portfolio Servicing, Inc.* (2016) 246 Cal.App.4th 1150, 1167, overruled in part on other grounds by *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 919; *PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682-1683.)

Generally, a complaint is sufficient if it pleads "ultimate" facts. (*C.A. v. William S. Hart Union High School Dist.* (2012) 53 Cal.4th 861, 872; *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 549-550.) "Ultimately, the complaint is sufficient if 'the adversary has been fairly apprised of the factual basis of the claim against him.' [Citations, internal quotations omitted.]" (*Randall v. Ditech Financial, LLC* (2018) 23 Cal.App.5th 804, 810.) If a complaint fails to state a cause of action but there is a reasonable possibility of amendment to cure the deficiencies, then leave to amend must be granted. (*Quelimane Co. v. Stewart Title Guaranty Co., supra*, 19 Cal.4th at 39.)

Cross-Defendants' Request for Judicial Notice

Demurring parties ask the Court to take judicial notice of several pleadings filed in this action and in the Fuller Action. (X-Def. RJN ¶¶ 1-7.) The request is unopposed, and the Court **grants** the request subject to the limitations on the scope of judicial notice under the applicable case law. (Evid. Code § 452(d); *StorMedia, Inc. v. Superior Court* (1999) 20 Cal.4th 449, 457, fn. 9 [judicial notice does not extend to the truth or proper interpretation of a pleading to the extent reasonably disputable]; *Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 113-115 [same].)

Exhibits Attached to Cross-Defendants' Reply

Defendant has attached five exhibits to the reply, without a separate request for judicial notice or a request for judicial notice in the text of the reply. The Court does not generally consider new evidence submitted for the first time with a reply, though in this case Exhibit A to the reply is a copy of one of the Management Agreements already attached to the cross-complaint and Exhibits B-D are pleadings filed in this case which the Court may consider. The Court will not consider Exhibit E to the reply as an unauthenticated document clearly not subject to judicial notice and therefore outside what the Court

can evaluate in deciding a demurrer. (*Evans, supra*, 38 Cal.4th at 6; *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.)

The Sequoia Parties' Objection to the Demurrer Based on Noncompliance with the Meet and Confer Requirement

The Sequoia Parties objected to the Court's consideration of the demurrer based on the demurring parties' failure to conduct a Code-compliant meet and confer under Code of Civil Procedure section 430.41(a). The hearing on the demurrer was originally set for July 22, 2026. The Court found that the demurring parties had not conducted a compliant "meet and confer" under the statute, and the Court continued the hearing to this date for the parties to satisfy the statute. The Court required the parties to meet and confer by telephone, videoconference, or in person by August 10, 2026. The demurring parties filed a joint report attesting to their compliance with the Court's order and the statutory meet and confer requirement and asking the Court to continue the continued demurrer hearing from August 26, 2026 to a date prior to the September 16, 2026 hearing on the motion for preliminary approval of the class settlement.

Analysis

Cross-Defendants contend the cross-complaint fails to allege facts sufficient to support any of its causes of action for a number of reasons which the Court will address with regard to each claim below. Cross-Defendant Smith also contends that the cross-complaint fails to allege facts sufficient to support his personal liability on any of the causes of action based on an alter ego theory.

A. Whether the Cross-Complaint and Each Cause of Action Is Barred by Compulsory Cross-Complaint Requirement

A demurrer may be made to a complaint as a whole or to individual causes of action. (Code Civ. Proc. § 430.50(a).) The demurring parties demur to the cross-complaint in its entirety and to each cause of action on the ground that the cross-complaint is barred under Code of Civil Procedure section 426.30(a).

Cross-Defendants argue that the cross-complaint meets the definition of a "related cause of action" in Code of Civil Procedure section 426.10(c), and that the claims alleged are related causes of action to the claims alleged by the Fuller Plaintiffs in the Fuller Action. They argue that the claims therefore had to be asserted as a compulsory cross-complaint in the Fuller Action.

Code of Civil Procedure section 426.10(c) defines a "related cause of action" as "a cause of action which arises out of the same transaction, occurrence, or series of transactions or occurrences as the cause of action which the plaintiff alleges in his complaint." The term "transaction" in the statute "is construed broadly" to include claims that are logically related to the claims alleged in the main action. (*Align Technology, Inc. v Tran* (2009) 179 Cal.App.4th 949, 960.)

Code of Civil Procedure section 426.30 addresses when a compulsory cross-complaint must be filed and the effect of failure to file a compulsory cross-complaint when required: "Except as otherwise provided by statute, if a party against whom a complaint has been filed and served fails to allege in a cross-complaint any related cause of action which (at the time of serving his answer to the complaint) he has against the plaintiff, such party may not thereafter in any other action assert against the

plaintiff the related cause of action not pleaded." (Code Civ. Proc. § 426.30(a) [emphasis added].)

"The compulsory cross-complaint statute is designed to prevent 'piecemeal litigation.' [Citation omitted.] I. . . . '[T]he law abhors a multiplicity of actions . . . the obvious intent of the Legislature . . . was to provide for the settlement, in a single action, of all conflicting claims between the parties arising out of the same transaction. [Citation.] Thus, a party cannot by negligence or design withhold issues and litigate them in successive actions; he may not split his demands or defenses; he may not submit his case in piecemeal fashion. [Citation.] [Citations omitted.] In furtherance of this intent of avoiding a multiplicity of actions, numerous cases have held that the compulsory cross-complaint statute—both section 426.30 and its predecessor statute (former section 439)—must be liberally construed to effectuate its purpose. [Citations omitted.]" (*Align Technology, Inc., supra*, 179 Cal. App. 4th at 959.)

1. Express Contractual Indemnity and Declaratory Relief – Contract (1st and 2nd C/As)

"Express, or contractual, indemnity 'refers to an obligation that arises []by virtue of express contractual language establishing a duty in one party to save another harmless upon the occurrence of specified circumstances.[]' [Citation, some internal quotation marks omitted.] A claim for contractual indemnity is akin to a claim for breach of contract. [Citation omitted.] Thus, a claim for contractual indemnity and breach of contract based on a refusal to honor an indemnity provision consist of the same elements: (1) the existence of an agreement containing a contractual indemnity provision; (2) the indemnitee's performance of the relevant provisions of the agreement; (3) a loss within the meaning of the indemnity agreement; and (4) damages sustained as a result of the breach of the indemnity agreement. [Citations omitted.]." (*Gumarang v. Braemer on Raymond, LLC* (2025) 110 Cal. App. 5th 370, 382.)

The Management Agreements which are alleged by the Fuller Plaintiffs as a basis for their claims in the Fuller Action are the same contracts on which the Sequoia Parties base their first and second causes of action in the cross-complaint in this case. (X-Compl. ¶¶ 48, 56 and Exh. A; Fuller FAC ¶ 34 and 6th C/A [Breach of Contract]; Code Civ. Proc. § 426.10(a).) The Sequoia Parties' breach of contract cause of action, asserted in two counts, alleges a breach of the Management Agreements which include a provision for the Fuller Cross-Defendants to indemnify, defend, and hold the Sequoia Parties harmless from claims in connection with the management and operation of the properties owned by the Fuller Cross-Defendants. The Sequoia Parties allege the indemnity, defense, and hold harmless obligations were "triggered" by the filing of the Ross Class Action complaint, and the breach of the obligations is based in part on the Fuller Cross-Defendants' failure to defend them from the Ross Class Action Plaintiffs' claims. (X-Compl. ¶¶ 48-63.) In the Fuller FAC, which was the operative pleading in the Fuller Action at the time the cross-complaint was filed in this case, the Fuller Plaintiffs allege the filing of the Ross Class Action and the allegations of mishandling tenant security deposits and improper repair charges as a basis for the claims made against the Sequoia Parties in the Fuller Action. (Fuller Plaintiffs' FAC ¶¶ 31-43, 54-57, 72-74.)

In opposition to the demurrer, the Sequoia Parties argue that the claims alleged in their cross-complaint arise out of the Ross Class Action claims which are based on conduct by the Fuller Cross-Defendants that preceded the Sequoia Parties' Management Agreements with the Fuller

Plaintiffs/Fuller Cross-Defendants. The Sequoia Parties also argue that the Fuller Plaintiffs' claims for "lost rent" are not alleged in the Ross Class Action and that the Fuller Plaintiffs' claims in the Fuller Action relate to the Sequoia Parties' "performance" of the Management Agreements but not conduct by the Fuller Plaintiffs in their treatment of tenants prior to the Management Agreements being entered into. (Opp. p. 4, ll. 1-16.)

The arguments are true only in part. The classes alleged in the Ross Class Action FAC include tenants whose leaseholds terminated from September 25, 2019 "to the present." (Ross Class Action FAC ¶ 77.) The cross-complaint shows the Management Agreements attached as Exhibit A to the cross-complaint were entered into in December 2021. The Ross Class Action claims therefore extend to the period of the Sequoia Parties' management under the Management Agreements.

The Sequoia Parties also cite Code of Civil Procedure section 426.40 as support for their argument that the cross-complaint claims did not have to be filed as a compulsory cross-complaint in the Fuller Action. Code of Civil Procedure section 426.40 sets forth one of the exceptions to the compulsory cross-complaint filing requirements. That statute states that the article on compulsory cross-complaints does not apply if "[a]t the time the action was commenced, the cause of action not pleaded was the subject of another pending action." (Code Civ. Proc. § 426.40(c) [emphasis added].)

As applied to these cases, "the time the action was commenced" means the time the Fuller Action was commenced, which was June 2024. The "cause of action not pleaded" refers to the causes of action alleged in the cross-complaint which were "not pleaded" until the Sequoia Parties filed the cross-complaint being challenged. The Court is not persuaded that the statutory phrases "causes of action not pleaded" which were "the subject of another pending action" can be interpreted to mean the Ross Class Action claims against the Sequoia Parties, which is what the Sequoia Parties seem to argue to justify their failure to file the cross-claims in the Fuller Action. Stretching the words of the statute to make the Sequoia Parties' indemnity or contribution causes of action the "subject" of the Ross Class Action FAC is a bridge too far.

The decision *Hulsey v. Koehler* (1990) 218 Cal.App.3d 1150 does not help resolve the compulsory cross-claim issue here. In that case, the Court of Appeal upheld a trial court's denial of a motion by the defendant to amend her answer to assert Code of Civil Procedure section 426.30 as a defense to the action. The Court stated that "[i]n the published portions of this opinion, we hold that section 426.30 is analogous to the doctrine of res judicata and must be specially pleaded as an affirmative defense. Failure to so plead section 426.30 constitutes a waiver of this defense. We also find that the trial court did not abuse its discretion in denying as untimely Koehler's motion to amend at trial." (*Id.* at 1153 [emphasis added].) The Court rejected the argument that the compulsory cross-complaint bar of section 426.30 could be asserted without being pled as an affirmative defense, but it did not have to determine whether the bar applied.

The Sequoia Parties argue that their claims are for "indemnity" which do not accrue until liability and payment have been made on the underlying claim. The case they cite to support that proposition addresses equitable indemnity, not express contractual indemnity. (See Opp. p. 4, ll. 21-28, citing *Valley Circle Estates v. VTN Consolidated, Inc.* (1983) 33 Cal.3d 604, 611.) While the Court agrees that the equitable indemnity and contribution claims had not accrued, are not compulsory cross-claims and are not barred, as discussed below, the express contractual indemnity claims allege breaches of

the Fuller Cross-Defendants' obligations that arose when they failed to accept the tender of the Sequoia Parties' defense, forced the Sequoia Parties to engage counsel and incur attorneys' fees, and were otherwise not held harmless from the claims by the Ross Class Action Plaintiffs. (X-Compl. ¶¶ 48-63.) The factual allegations support that those claims had accrued as of December 2024, as the Sequoia Parties had already appeared and begun defending the Ross Class Action by that time. Both the Fuller Action FAC and the cross-complaint alleged breaches of the same Management Agreements. The express contractual indemnity claim thus qualifies as a related cause of action subject to the compulsory cross-complaint statute.

The Court also rejects the Sequoia Parties' argument that the cross-complaint claims do not qualify as a related action because cross-defendant Doug Smith was not a party plaintiff in the Fuller Action, and therefore none of the cross-complaint claims against Smith are subject to the compulsory cross-complaint statute. The cross-claims in the cross-complaint seek to hold Smith liable as an alter ego of all of the Fuller Cross-Defendants and for tortious conduct he committed on behalf of the Fuller Cross-Defendants. The Sequoia Parties have not cited any independent claims alleged in the cross-complaint against Smith that are not based solely on his relationship to the Fuller Cross-Defendants and in turn, the Fuller Cross-Defendants' relationship to the Sequoia Parties under the Management Agreements.

The second cause of action for declaratory relief seeks a declaration regarding the nature and scope of the Fuller Cross-Defendants' indemnity, defense, and hold harmless duties under the Management Agreements, essentially based on the same factual predicate on which the express contractual indemnity cause of action is alleged. The same analysis regarding the accrual of the declaratory relief cause of action based on the parties' contractual duties under the indemnity, defense, and hold harmless provisions in the Management Agreements applies to the second cause of action for declaratory relief; that cause of action also meets the "related cause of action" definition to make it a compulsory cross-claim that had accrued when the Sequoia Parties filed their answer to the FAC in the Fuller Action in December 2024.

The Sequoia Parties point to authority that where a compulsory cross-complaint is not filed at the same time as the answer, leave of court may be obtained to file the late cross-complaint. (Code Civ. Proc. § 428.50(c) ["A party shall obtain leave of court to file any cross-complaint except one filed within the time specified in subdivision (a) or (b). Leave may be granted in the interest of justice at any time during the course of the action."].) Code of Civil Procedure section 426.50 provides that "[a] party who fails to plead a cause of action subject to the requirements of this article . . . may apply to the court for leave . . . to file a cross-complaint, to assert such cause at any time during the course of the action." (Code Civ. Proc. § 426.50 [emphasis added].) Inadvertence, mistake, neglect, or other cause does not preclude the Court from granting leave to file the cross-complaint. (Code Civ. Proc. § 426.50.) So long as the party acted in good faith, the Court "shall grant, upon such terms as may be just to the parties" leave to file the cross-complaint. (*Id.* [emphasis added].) These authorities address a party obtaining leave to file a late cross-complaint in the action in which the compulsory cross-complaint was required to be filed. The authorities are therefore inapposite, except to support that, to the extent the cross-complaint as a whole or any of the individual causes of action are compulsory cross-claims that had to be filed in the Fuller Action, the Sequoia Parties may have a remedy under those statutes to seek leave to pursue the claims as late-filed compulsory cross-claims in the Fuller

Action.

The general demurrers by the Cross-Defendants to the first and second causes of action based on the bar of Code of Civil Procedure section 426.30(c) for purposes of this action are **sustained, without leave to amend** on this ground, but **without prejudice** to any relief the Sequoia Parties may seek in the Fuller Action to obtain leave to file a late compulsory cross-complaint in that case.

2. Equitable Indemnity and Contribution and Declaratory Relief - Tort

The causes of action in the cross-complaint include claims for equitable indemnity and contribution. The Fuller Plaintiffs allege in the Fuller Action FAC the filing of the Ross Class Action as one of the facts supporting the Fuller Plaintiffs' claims of negligence and mismanagement of properties by the Sequoia Parties. (Fuller Action FAC ¶ 41.) Nevertheless, the claims the Sequoia Parties assert in this case for equitable indemnity and contribution are based on the existence of any liability in this action to the Ross Class Action parties, so it is less clear that the equitable indemnity, contribution, and declaratory relief – tort claims constitute related causes of action under Code of Civil Procedure section 426.10. Even if they do, for the reasons explained, the claims are not compulsory cross-claims that had to be filed with the Sequoia Parties' answer in the Fuller Action.

Claims for equitable indemnity do not accrue until liability against the indemnitee has been established and the indemnitee has paid the liability or judgment. (*Western Steamship Lines, Inc. v. San Pedro Peninsula Hospital* (1994) 8 Cal.4th 100, 110 [" ' [A] fundamental prerequisite to an action for partial or total equitable indemnity is an actual monetary loss through payment of a judgment or settlement.' [Citation.]"]; *E. L. White, Inc. v. City of Huntington Beach* (1978) 21 Cal.3d 497, 506 ["It is well settled that a cause of action for implied indemnity does not accrue or come into existence until the indemnitee has suffered actual loss through payment." (Emphasis added.); *Valley Circle Estates, supra*, 33 Cal. 3d at 611 ["A] cause of action for indemnity does not accrue until the indemnitee has suffered a loss through payment of an adverse judgment or settlement. . . . [¶] '[The] governing authorities, both in California and throughout the country, uniformly hold that a tort defendant's equitable indemnity action is separate and distinct from the plaintiff's tort action.' [Citations omitted.]"]].)

A claim for contribution also does not accrue until a party has paid more than its fair share of a common obligation. (*Jackson v. Lacy* (1940) 37 Cal.App.2d 551, 559 [claim for contribution accrues on, but not before, a party pays for more than its share of a common obligation]; Civil Code section 1432 ["Except as provided in Section 877 of the Code of Civil Procedure, a party to a joint, or joint and several obligation, who satisfies more than his share of the claim against all, may require a proportionate contribution from all the parties joined with him." (Emphasis added.)].) Until the party claiming a right to contribution has actually paid something, the party does not have a contribution claim for recovery against other co-obligors. (*Hosking v. Spartan Properties, Inc.* (1969) 275 Cal. App. 2d 152, 157.)

Further, the California Supreme Court has recognized that equitable indemnity claims may be filed as separate actions, and thus an equitable indemnity claim is not a compulsory cross-claim in the underlying action to determine liability. (*E. L. White, Inc. v. City of Huntington Beach* (1978) 21 Cal.3d 497, 506.) There is no reason why the same rationale does not apply to a claim for equitable contribution.

These authorities support that the equitable indemnity and contribution claims alleged in the third and fourth causes of action are not compulsory cross-claims that were required to be filed as a compulsory cross-complaint in the Fuller Action. In those causes of action, the Sequoia Parties seek indemnity and contribution for any liability that may be determined against them or paid in settlement based on the Ross Class Action Plaintiff claims in this case, which had not accrued as of the time they answered the Fuller Action FAC. (Code Civ. Proc. § 426.30(a).)

The fifth cause of action for declaratory relief seeks a declaration regarding the nature and scope of the equitable indemnity and contribution obligations the Fuller Cross-Defendants have to the Sequoia Parties, if the Sequoia Parties are liable for the claims alleged against them in this case by the Ross Class Action Plaintiffs. The fifth cause of action is therefore similarly founded on, and subject to, a determination of the underlying liability the Sequoia Parties may have in this action. The fifth cause of action also had not accrued as of December 2024 when the Sequoia Parties filed their answer to the Fuller FAC. (Code Civ. Proc. § 426.30(a).)

The general demurrers to the third, fourth, and fifth causes of action on the ground that they are barred under Code of Civil Procedure section 426.30(a) are **overruled**.

B. Contractual Indemnity (1st C/A)

The cross-complaint alleges a breach of contract in two counts, both based on the same provision of the Management Agreements. The Sequoia Parties allege the Management Agreements provide that the Fuller Cross-Defendants agreed to "indemnify and defend" the Sequoia Parties and hold them harmless from "any and all Claims" they may "suffer or incur arising out of or in connection with any action taken or omitted to be taken by Owner or any Owner Party in connection with, the management and operation of the Property **if such action or omission is otherwise attributable to the negligence, bad faith, fraud, misconduct, criminal act or breach in any material respect of this Agreement by Owner or any of the Owner Parties.**" (X-Compl. ¶¶ 50, 58 [emphasis added].)

Count One alleges the Fuller Cross-Defendants breached their duty to "indemnify" the Sequoia Parties under the express contractual indemnity. They allege they tendered their "defense and indemnity" to the Fuller Cross-Defendants, but that the Fuller Cross-Defendants' tender "has not been responded to effectively meaning they have denied each of the Cross-Complainants' tenders of defense and indemnity." (X-Compl. ¶ 53.) Count Two alleges the Fuller Cross-Defendants breached their duty to defend under the same contractual provision and hold the Sequoia Parties' harmless under the Management Agreements, and they allege the claims alleged by Plaintiffs in this action "are caused by the active negligence and intentional conduct" of the Fuller Cross-Defendants, triggering the duty to defend. (X-Compl. ¶¶ 59, 61.)

The demurring parties contend that the cross-complaint does not state these causes of action because the indemnity provision in the Management Agreements is unenforceable under Civil Code sections 1668 and 2773, statutes which invalidate certain exculpatory and indemnity agreements. (Civ. Code § 1668 ["All contracts which have for their object, directly or indirectly, to exempt anyone from responsibility for his own fraud, or willful injury to the person or property of another, or violation of law, whether willful or negligent, are against the policy of the law."]; Civ. Code § 2773 ["An agreement to indemnify a person against an act thereafter to be done, is void, if the act be known by such person at the time of doing it to be unlawful." (Emphasis added.)].)

The California Supreme Court has held that "Section 1668 applies to contractual exemptions from liability, not to indemnity contracts. [Citations omitted.]" (*Safeco Ins. Co. v. Robert S.* (2001) 26 Cal. 4th 758, 767 [addressing an insurance contract with an indemnity provision and finding Civil Code section 1668 did not apply to that contract].) (*See also Smoketree-Lake Murray v. Mills Concrete Constr. Co.* (1991) 234 Cal. App. 3d 1724, 1734-1735 [" 'Indemnity may be defined as the obligation resting on one party to make good a loss or damage another party has incurred. [Citation.]" [Citations omitted.] Indemnity, involving an obligation to an injured third party, is distinct from an exculpatory clause or 'exemption' from liability obtained from the injured party. [Citations omitted.]").) These authorities support that Civil Code section 1668 does not apply to the indemnity provision in this case.

As to Civil Code section 2773, nothing on the face of the cross-complaint or in the terms of the indemnity and defense provision on its face purports to indemnify the Sequoia Parties for future acts that the Sequoia Parties knew were unlawful. (Civ. Code § 2773.) To the contrary, the demurring parties argued that the Sequoia Parties were responsible for complying with applicable laws and ordinances under section 3.5 of the Management Agreements, which undermines an inference that the indemnity provision is intended to indemnify the Sequoia Parties for future conduct under the Management Agreement which was known by the Sequoia Parties to be unlawful. (Opp. p. 8, citing X-Compl. Exh. A, section 3.5; Civ. Code § 2773.)

Nothing on the face of the indemnity agreement purports to shift liability for unlawful actions of the Sequoia Parties to the Fuller Cross-Defendants. Rather, the language of the indemnity agreement requires the Fuller Cross-Defendants to indemnify, defend, and hold the Sequoia Parties harmless for acts or omissions attributable to the "negligence, bad faith, fraud, misconduct, criminal act or breach in any material respect of this Agreement by Owner or any of the Owner Parties," which appears to be wholly consistent with Civil Code sections 1668 and 2773.

Further, the demurring parties do not cite any allegations of the cross-complaint in which the Sequoia Parties have alleged or admitted that the Sequoia Parties committed any unlawful or fraudulent acts or other intentional wrongdoing for which they seek indemnity. The cross-complaint alleges that cross-defendant Smith demanded and pressured the Sequoia Parties to engage in illegal conduct with regard to the tenants and to violate applicable law, but that they "refused to comply with SMITH's illegal demands based on their ethical obligations and legal duties to tenants and under applicable law," an allegation the Court accepts as true on demurrer. (X-Compl. ¶ 34.) (See also X-Compl. ¶ 36.)

To support the demurrer, the demurring parties instead ask the Court to accept as true allegations of the Ross Class Action Plaintiffs made in the Ross Class Action FAC. Judicial notice of the Ross Class Action FAC for purposes of ruling on the demurrer does not extend to the truth of allegations in a different pleading where the truth of the content is reasonably disputable. (*StorMedia, Inc., supra*, 20 Cal.4th at 457, fn. 9 [judicial notice does not extend to the truth or proper interpretation of a pleading to the extent reasonably disputable]; *Fremont Indemnity Co., supra*, 148 Cal.App.4th at 113-115.) The demurring parties cite no authority which would require or allow the Court to accept as true allegations by different parties, in particular the Sequoia Parties' adversaries in this litigation, made in a different pleading in ruling on a demurrer to the cross-complaint of the Sequoia Parties.

Further, the Ross Class Action FAC in any event does not allege only that the Sequoia Parties

committed intentional wrongdoing or "bad faith" mishandling of security deposits in violation of Civil Code section 1950.5, which might make the indemnity and defense provision of the Management Agreements unenforceable against them as to that conduct. The claims made in the Ross Class Action against the Sequoia Parties also include claims of mere negligence by the Sequoia Parties. (See *generally* Ross Class Action FAC ¶ 78, subpara. 2 [listing common questions of fact and law, including item 11 "Whether Defendants' acted negligently in either: (i) failing to provide statutorily required substantiation for charges against the Plaintiff Class' retained security deposits; (ii) failing to return any portion of Plaintiff Subclass No. 1's retained security deposits within 21 days of vacating the leased premises; or (iii) reporting Plaintiff Subclass No. 2 to collection agency(ies)."].) Further, no adjudication has been made against the Sequoia Parties at this point as to any bad faith or unlawful conduct by them.

Civil Code sections 1668 and 2773 do not invalidate the indemnity and defense provision in the Management Agreements as a matter of law based on the face of the allegations of the cross-complaint. The general demurrer by all Cross-Defendants to the first cause of action on this ground is **overruled**.

C. Declaratory Relief – Contract (2nd C/A)

Code of Civil Procedure section 1060 provides that a "person interested . . . under a contract, or who desires a declaration of his or her rights or duties with respect to another, or in respect to, in, over or upon property . . . may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action or cross-complaint in the superior court for a declaration of his or her rights and duties in the premises, including a determination of any question of construction or validity arising under the instrument or contract." (Code Civ. Proc. § 1060 [emphasis added].) The demurring parties argue that the claim for declaratory relief by a determination of what duties of indemnification and defense the Fuller Cross-Defendants owe to the Sequoia Parties fails because the breach of contract claim fails.

Further, a party may seek declaratory relief "either alone or with other relief." (Code Civ. Proc. § 1060.) A declaratory relief claim states a cause of action even if, based on the allegations of the complaint, the facts support a judicial declaration adverse to the party seeking declaratory relief. (*Nede Management, Inc. v. Aspen American Ins. Co.* (2021) 68 Cal.App.5th 1121, 1130 [addressing an order sustaining a demurrer to a standalone cause of action for declaratory relief as to whether plaintiffs' insurer had a conflict of interest that required appointment of *Cumis* counsel in an underlying tort lawsuit against the plaintiffs defended and settled by the insurer, determined adverse to plaintiffs]; *Bennett v. Hibernia Bank* (1956) 47 Cal.2d 540, 549–550 ["It is the general rule that in an action for declaratory relief the complaint is sufficient if it sets forth facts showing the existence of an actual controversy relating to the legal rights and duties of the respective parties . . . and requests that the rights and duties be adjudged. [Citation.] If these requirements are met, the court must declare the rights of the parties whether or not the facts alleged establish that the plaintiff is entitled to a favorable declaration."].)

The demurring parties do not contend that the cross-complaint does not allege the necessary elements to state a claim for declaratory relief, except to the extent they argue the breach of contract cause of action does not state a claim for relief. The Court has concluded that the breach of contract

claim states a cause of action, which undermines the basis for the demurrer to this cause of action. Under the foregoing authority, the cross-complaint does not fail to state a cause of action for declaratory relief solely because the declaration of rights may be adverse to the cross-complainants.

The general demurrer to the second cause of action on this ground is **overruled**.

D. Equitable Indemnity and Contribution (3rd and 4th C/As)

The demurring parties contend these causes of action fail because the Ross Class Action Plaintiffs have alleged intentional torts against the Sequoia Parties, and therefore, the Sequoia Parties are not entitled to equitable relief through equitable indemnity or contribution for their intentional wrongdoing. As addressed in the general demurrer to the first cause of action based on Civil Code sections 1668 and 2773, the demurring parties have cited no authority that permits much less requires the Court to assume the truth of allegations made by other parties in a separate complaint in ruling on a demurrer to the current cross-complaint. Nothing on the face of the cross-complaint concedes the truthfulness of the allegations made by the Ross Class Action Plaintiffs, and those claims have not been adjudicated with a determination that the Sequoia Parties engaged in any intentional wrongdoing so as to foreclose the equitable indemnity and contribution claims as a matter of law. Further, the Ross Class Action FAC also alleges negligent conduct by the Sequoia Parties, and to the extent liability exists against the Sequoia Parties based on negligence, claims for equitable indemnity and contribution would not be barred.

The general demurrers to the third and fourth causes of action on this ground is **overruled**.

E. Declaratory Relief – Tort (5th C/A)

The fifth cause of action also seeks declaratory relief but on a different basis than the second cause of action. Specifically, the Sequoia Parties seek a declaration of the nature and scope of any equitable indemnity and contribution rights they may have against Smith and the Fuller Cross-Defendants for any liability they may have based on the claims against them in the Ross Class Action FAC.

The demurring parties argue three reasons why a general demurrer to the fifth cause of action should be sustained: (1) the claim is "wholly derivative" of the third and fourth cause of action claims which they assert are defective; (2) declaratory relief is not available to redress past wrongs, and the parties' business relationship has ended, so they contend any declaratory relief would not operate prospectively; and (3) the claim is superfluous as merely duplicative of issues raised by the third and fourth causes of action.

As to the first ground, the Court has found that the claims for equitable indemnity and contribution at this stage are not precluded as a matter of law. It is not defective because of any defect in the equitable indemnity and contribution causes of action.

While the Court accepts the proposition that declaratory relief must operate prospectively, the request for declaratory relief in this case seeks a declaration regarding rights and obligations of the Cross-Defendants to the Sequoia Parties based on potential liability that may be established in the future, and specifically whether the Fuller Cross-Defendants' insurance carrier and the Fuller Cross-Defendants directly are obligated to pay the Sequoia Parties for any negligence or liability that exceeds the Sequoia Parties' own fault or negligence. (X-Compl. ¶¶ 89-91.)

As to the third ground, the Court finds that the fifth cause of action for declaratory relief is not superfluous and unnecessary in light of the additional allegations in the fifth cause of action which address not only the existence and scope of the equitable indemnity and contribution rights the Sequoia Parties may have, but also the source of payment for any equitable indemnity and contribution obligations the Cross-Defendants may be determined to have. The Sequoia Parties specifically ask for a determination that, if they are entitled to payment for any equitable indemnity or contribution, such payments must be made by the Fuller Cross-Defendants' insurer and directly by the Fuller Cross-Defendants. (X-Compl. ¶ 90.)

The general demurrer to the fifth cause of action on these grounds is **overruled**.

F. General Demurrer to the Complaint in Its Entirety and All Causes of Action as to Cross-Defendant Smith – Sufficiency of Alter Ego Allegations

The California Supreme Court set forth the two general elements necessary to allege liability based on piercing the corporate veil under an alter ego theory. "There is no litmus test to determine when the corporate veil will be pierced; rather the result will depend on the circumstances of each particular case. There are, nevertheless, two general requirements: '(1) that there be such unity of interest and ownership that the separate personalities of the corporation and the individual no longer exist and (2) that, if the acts are treated as those of the corporation alone, an inequitable result will follow.' [Citation omitted.] And 'only a difference in wording is used in stating the same concept where the entity ought to be held liable is another corporation instead of an individual.' [Citation omitted.]" (*Mesler v. Bragg Management Co.* (1985) 39 Cal.3d 290, 300.) (*See also Leek v. Cooper* (2011) 194 Cal.App.4th 399, 415 415.)

" 'Ordinarily, a corporation is regarded as a legal entity, separate and distinct from its stockholders, officers and directors, with separate and distinct liabilities and obligations. [Citations.] . . . Under the alter ego doctrine . . . when the corporate form is *used* to perpetrate a fraud, circumvent a statute, or *accomplish some other wrongful or inequitable purpose*, the courts will ignore the corporate entity and deem the corporation's acts to be those of the persons or organizations actually controlling the corporation, in most instances the equitable owners. [Citations.]" [Citations omitted, italics in original.] [¶] Two requirements must be met to invoke the alter ego doctrine: (1) '[T]here must be such a unity of interest and ownership between the corporation and its equitable owner that the separate personalities of the corporation and the shareholder do not in reality exist'; and (2) 'there must be an *inequitable result* if the acts in question are treated as those of the corporation alone.' [Citation omitted, italics in original.].) (*Turman v. Superior Court* (2017) 17 Cal.App.5th 969, 980-981.) (*See also Arnold v. Browne* (1972) 27 Cal.App.3d 386, 394.)

In *Leek v. Cooper* (2011) 194 Cal.App.4th 399, the Court explained, "A complaint must set forth the facts with sufficient precision to put the defendant on notice about what the plaintiff is complaining and what remedies are being sought. [Citation omitted.] To recover on an alter ego theory, a plaintiff need not use the words 'alter ego,' but must allege sufficient facts to show a unity of interest and ownership, and an unjust result if the corporation is treated as the sole actor. [Citation omitted.] An allegation that a person owns all of the corporate stock and makes all of the management decisions is insufficient to cause the court to disregard the corporate entity. [Citation omitted.]" (*Id.* at 415 [emphasis added].) Further, the Sequoia Parties are only required to allege ultimate facts, not

evidentiary facts, in order for the cross-complaint to adequately state the alter ego claim against Smith. (*Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal.App.4th 221, 235-236 [holding the alter ego allegations were sufficient where the complaint alleged that "Caswell dominated and controlled PDR; that a unity of interest and ownership existed between Caswell and PDR; that PDR was a mere shell and conduit for Caswell's affairs; that PDR was inadequately capitalized; that PDR failed to abide by the formalities of corporate existence; that Caswell used PDR assets as her own; and that recognizing the separate existence of PDR would promote injustice."].)

The demurring parties argue that the Sequoia Parties' allegations against Smith are "false" because he does not own any of the real properties, and they argue that the Sequoia Parties admitted in the cross-complaint that they violated the law by agreeing to the illegal conduct Smith was demanding. (Reply p. 8.) Neither argument accurately reflects the allegations of the cross-complaint. The Sequoia Parties allege that Smith is the owner of the entities that are the property owners, and that he is the alter ego of those entities based in part on that ownership. (X-Compl. ¶¶ 27-29.) The Sequoia Parties allege that they "refused to comply" with Smith's demands that they engage in illegal conduct which led to the termination of the parties' business relationship. (X-Compl. ¶¶ 34-36.)

The Court also rejects the demurring parties' argument that the cross-complaint fails to allege facts to support alter ego liability against Smith. The cross-complaint does far more than merely make conclusory allegations regarding Smith's alter ego status or allege Smith's ownership or control of the Fuller Cross-Defendants. (X-Compl. ¶¶ 27-38.) They allege numerous facts regarding Smith's commingling of corporate assets, use of corporate funds for his personal benefit, failure to maintain the corporate formalities and use of the Fuller Cross-Defendants as mere shells or conduits for the conduct of his individual business ventures, among other allegations. (X-Compl. ¶ 27.) They allege that (a) Smith exercised "complete control and direction" over the Fuller Cross-Defendants; (b) Smith personally directed the Sequoia Parties to engage in "illegal acts and practices" related to the tenants and pressured the Sequoia Parties to perform unlawful acts despite being informed of the applicable laws; (c) Smith's "individual acts" regarding the foregoing and in subsequently causing the termination of the business relationship between the Sequoia Parties and the Fuller Cross-Defendants is tortious and makes him individually liable; (d) Smith's conduct was intentional and willful; and (f) his personal participation in directing the unlawful acts "strips him of any protection afforded by the corporate form and renders him personally liable for the damages caused" to the Sequoia Parties. (FAC ¶¶ 29-38.) These allegations meet the requirements for alleging facts to support alter ego liability against Smith under the applicable law.

The general demurrer by Smith to the cross-complaint in its entirety for failure to state a cause of action against him is **overruled**.

9. 9:00 AM CASE NUMBER: C24-00633
CASE NAME: ELI HAZAN VS. VOLKSWAGEN GROUP OF AMERICA, INC.

FILED BY:
TENTATIVE RULING:

This hearing is continued, *sua sponte*, to October 28, 2026 at 9:00 a.m. No appearance is required at the hearing on September 9, 2026 at 9:00 a.m. Briefing is closed.

10. 9:00 AM CASE NUMBER: C24-00892

CASE NAME: LAXMI CAPITAL, LLC, A CALIFORNIA LIMITED LIABILITY COMPANY VS. MARGARET MURPHY

FOR CHARGING ORDER AGAINST DEBTOR MARGARET MARIE MURPHY'S INTEREST IN MJD DEVELOPMENT, LLC - CONTINUED FROM 4/9/25 DUE TO JUDGE'S UNAVAILABILITY. CONTINUED BY STIPULATED AGREEMENT FROM 10/29/25 TO 1/14/25.

FILED BY: LAXMI CAPITAL, LLC, A CALIFORNIA LIMITED LIABILITY COMPANY

TENTATIVE RULING:

The hearing on this motion is continued by stipulation to September 23, 2026 at 9:00 a.m. in Dept. 16. No appearance is required on September 9, 2026.

11. 9:00 AM CASE NUMBER: C24-01760

CASE NAME: ACD-TI OAKLEY LLC VS. SUMMER LAKE OWNERS ASSOCIATION

FILED BY DEFENDANT/CROSS-COMPLAINANT, SUMMER LAKE OWNERS

FILED BY: SUMMER LAKE OWNERS ASSOCIATION

TENTATIVE RULING:

Before the Court is Defendant Summer Lake Owners Association ("Defendant" or "Summer Lake")'s motion for summary judgment or in the alternative summary adjudication. The Motion is directed toward Plaintiff ACD-TI Oakley, LLC ("Plaintiff" or "ACD")'s Complaint for Nuisance, Trespass, and Contribution.

For the following reasons, the motion for summary judgment is **granted**.

Legal Standard on Summary Judgment

A motion for summary judgment is properly granted only when "all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law." (Code Civ. Proc. § 437c, subd. (c).) A defendant may bring a motion on the ground the plaintiff cannot prove one of the required elements of the case or there is a complete defense to the action. (Code Civ. Proc. § 437c, subds. (o)(1), (2) & (p)(2); *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 849.)

To carry its initial burden when the motion is directed to the plaintiff's case rather than an affirmative defense, the defendant must present evidence that either negates an element of the plaintiff's cause of action or shows that the plaintiff does not possess, and cannot reasonably obtain, evidence necessary to establish at least one element of the cause of action. (*Aguilar*, supra, 25 Cal.4th at pp. 853-854.) Only after the defendant carries that initial burden does the burden shift to the plaintiff "to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto." (Code Civ. Proc. § 437c, subd. (p)(2).)

Courts "liberally construe the evidence in support of the party opposing summary judgment and resolve doubts concerning the evidence in favor of that party." (*Dore v. Arnold Worldwide, Inc.* (2006) 39 Cal.4th 384, 389.)

Brief Factual Background

Plaintiff purchased the undeveloped Subject Property from Bethel Island LLC in December 2018 for

the purpose of developing a residential real estate project. (Complaint at ¶ 6.) Defendant Shea Homes Limited Partnership developed the Summer Lake South Subdivision adjacent to the Subject Property and is the predecessor of Defendant Summer Lake Owners Association. (Complaint at ¶¶ 3, 4.) The Complaint alleges that in the Summer Lake South subdivision there is a lake water feature that collects flood and stormwater runoff from that subdivision and discharges those waters onto the Subject Property. (*Id.* at ¶ 12.) Specifically at issue in this case is an “Outfall Structure” and associated rip-rap which Plaintiff alleges “collects stormwater from the Defendant HOA’s Lake feature and directs that stormwater via the lake water discharge pipes to the Ditch that exists solely upon the Subject Property which is owned by Plaintiff.” (*Id.* at ¶ 14.)

Plaintiff also alleges in its Complaint that “[i]n order to complete the residential project on the Subject Property, the Plaintiff is required to design a drainage system that complies with the overall drainage plan for the City of Oakley. The drainage plan requires either a new in-tract pump station along with an upgrade to the existing Pump Station #4, or a more substantial or complete replacement of the existing Pump Station #4.” By its Complaint, Plaintiff seeks removal of the Outfall Structure and associated rip-rap or alternatively a determination that Defendants “are equitably required to contribute to the \$5.5 million dollar cost to upgrade Pump Station #4[.]” (Prayer at ¶¶ 1-2.)

Analysis

Actual Harm

First, Defendant argues that both Plaintiff’s causes of action for trespass and nuisance have no merit because Plaintiff has not sustained actual harm, only prospective damage based on the cost to upgrade Pump Station #4. In opposition, Plaintiff argues that its “real property has diminished in value due to Summer Lakes stormwater discharge” and “[i]t has suffered delay damages, loss of use, and must incur substantial cost to upgrade Pump Station #4 from which Summer Lake will benefit.” (Opp. at 18:9-11.)

Plaintiff does not have admissible evidence of “diminution in value.” (See Evidentiary Objections, below.) Even if it did, under California law, damages for diminution in value may only be recovered for permanent, not continuing, nuisances. (*Santa Fe Partnership v. ARCO Products Co.* (1996) 46 Cal.App.4th 967, 977–978; see also *Capogeanis v. Superior Court* (1993) 12 Cal. App. 4th 668, 679 [recovery of future damages would be inconsistent with a theory of continuing nuisance]; *Alexander v. McKnight* (1992) 7 Cal. App. 4th 973, 978 [equitable relief ordering abatement plus an award of damages for future harm would unjustly enrich the plaintiffs]; *Mozzetti v. City of Brisbane* (1977) 67 Cal. App. 3d 565, 575-576 [instruction on damages improperly allowed plaintiffs to receive damages for both the cost of remediation and the decrease in property value]; *Rhodes v. San Mateo Investment Co.* (1955) 130 Cal. App. 2d 116, 118 [damages for depreciation in market value could not be allowed where court had issued injunction ordering the defendant to abate the nuisance]. And, whether calculated from the date outfall structure was completed or the date the Plaintiff purchased the Subject Property, the three-year limitations period for bringing a permanent nuisance claim under CCP § 338 has expired.

While loss of use is a recognized measure of continuing nuisance damages (*Santa Fe Partnership v. ARCO Products Co.* (1996) 46 Cal.App.4th 967, 980), Plaintiff has not adduced any admissible evidence in support of non-speculative loss of use damages either. (See Evidentiary Objections, below.) The same is true with respect to Plaintiff’s “delay damages.” Plaintiff must prove, as part of its burden to establish the elements of nuisance and trespass, that it had a viable residential real estate project

which could have proceeded but for Defendant's conduct. It has not done so.

Because the Court concludes that Plaintiff cannot establish damages, an essential element of its claims for nuisance and trespass, it need not reach Defendant's additional arguments that the nuisance is permanent or that it has a prescriptive easement to drain flood and stormwater across Plaintiff's property.

Contribution

Defendant moves for summary judgment on Plaintiff's claim for contribution on the grounds that it has not yet accrued, as Plaintiff has not paid any money to upgrade Pump Station #4. In opposition, Plaintiff argues that "ACD-TI's contribution claim aligns with the intent of the Subdivision Map Act that compels reimbursement by parties that benefit from infrastructure upgrades such as Summer Lake." (Opp. at 24:6-8.) Plaintiff further argues that "the principles of equity require Summer Lake to contribute its fair share of the cost to upgrade Pump Station #4 as Summer Lake stands to substantially benefit from any upgrade." (*Id.* at 24:19-21.) The only authority cited by Plaintiff is *Pacific Legal Foundation v. California Coastal Com.* (1982) 33 Cal. 3d 158, 171-172.

Pacific Legal Foundation explains the principles of ripeness in the context of a challenge to general access policies of the Coastal Commission. Specifically, *Pacific Legal* concluded that a facial challenge to general access policies of the Coastal Commission was not ripe to review because plaintiffs were essentially inviting court to speculate about the type of developments upon which access conditions may be imposed.

Contribution is a creature of statute, specifically Code of Civil Procedure section 875, which provides:

- (a) Where a money judgment has been rendered jointly against two or more defendants in a tort action there shall be a right of contribution among them as hereinafter provided.
- (b) Such right of contribution shall be administered in accordance with the principles of equity.
- (c) Such right of contribution may be enforced only after one tortfeasor has, by payment, discharged the joint judgment or has paid more than his pro rata share thereof. It shall be limited to the excess so paid over the pro rata share of the person so paying and in no event shall any tortfeasor be compelled to make contribution beyond his own pro rata share of the entire judgment.
- (d) There shall be no right of contribution in favor of any tortfeasor who has intentionally injured the injured person.
- (e) A liability insurer who by payment has discharged the liability of a tortfeasor judgment debtor shall be subrogated to his right of contribution.
- (f) This title shall not impair any right of indemnity under existing law, and where one tortfeasor judgment debtor is entitled to indemnity from another there shall be no right of contribution between them.
- (g) This title shall not impair the right of a plaintiff to satisfy a judgment in full as against any tortfeasor judgment debtor.

(Code Civ. Proc. § 875.)

Contribution requires a showing that one of several joint tortfeasor judgment debtors has paid more than a pro rata share of a judgment. Here, there is none. Plaintiff's argument that "the principles of equity require Summer Lake to contribute its fair share of the cost to upgrade Pump Station #4 as Summer Lake stands to substantially benefit from any upgrade" (Opp. at 24:19-21) lacks merit. This argument depends on the meaning of contribution in the lay sense, not as defined in CCP § 875. Defendant is entitled to summary judgment on Plaintiff's claim for contribution.

Evidentiary Objections

The Court rules only on those objections material to the Court's ruling on the motion for summary judgment. (Code Civ. Proc. § 437c(q).)

Defendant's Objections to the Declaration of Eric Risberg:

Objection 1. Sustained.

Objection 2. Sustained.

Objection 3. Sustained.

Objection 4. Sustained.

Objection 5. Sustained.

Defendant's Objections to the Declaration of Ziad Ghandour:

Objection 9. Sustained.

Defendant's Objection to Exhibit 25: Sustained.

12. 9:00 AM CASE NUMBER: C24-01760
CASE NAME: ACD-TI OAKLEY LLC VS. SUMMER LAKE OWNERS ASSOCIATION
FILED BY CROSS-DEFENDANT RECLAMATION DISTRICT 799
FILED BY:

TENTATIVE RULING:

This Motion is vacated. Cross-Defendant Reclamation District 799's Judgment was entered on July 14, 2026. No appearance is required for this motion on September 9, 2026.

13. 9:00 AM CASE NUMBER: C24-02288
CASE NAME: ELSA BAUTISTA VS. DIANNE ADAIR DAY CARE CENTERS
PRELIMINARY APPROVAL OF CLASS ACTION AND PAGA SETTLEMENT
FILED BY: BAUTISTA, ELSA

TENTATIVE RULING:

Summary

Plaintiff Elsa Bautista ("Plaintiff") seeks preliminary approval of a proposed wage and hour class action and PAGA settlement with Defendant Dianne Adair Day Care Centers ("Defendant"). Plaintiff

further seeks conditional certification of the proposed class for purposes of settlement. This motion is **granted** as set forth in this order. No appearance is required at the hearing on September 9, 2026.

Background

This wage and hour class action and Private Attorneys General Act ("PAGA") settlement arises from claims that Defendant violated California Labor Code provisions governing meal and rest periods, overtime compensation, wage statements, timely payment of wages, and business expense reimbursement. The parties engaged in extensive discovery, including the exchange of statistical data and employment records, and participated in a full-day mediation with Lynn S. Frank before reaching this settlement.

The parties propose a gross settlement amount of **\$400,250.00** on an all-inclusive basis. Notably, Defendant has already distributed **\$88,250.00** to Class Members, leaving a remaining funding obligation of **\$312,000.00**. The settlement class consists of approximately 310 current and former non-exempt California employees who worked for Defendant during the period from August 27, 2020, through February 15, 2026, encompassing approximately 22,188 workweeks.

The settlement allocates the gross amount as follows: (1) up to **\$15,000.00** for settlement administration costs (currently estimated at \$8,500.00) to Apex Class Action, LLC; (2) a **\$10,000.00** service payment to Plaintiff Elsa Bautista; (3) **\$133,403.33** in attorney's fees (33.33% of the gross settlement) to Otkupman Law Firm, plus reimbursement of reasonable costs subject to proof; (4) **\$30,000.00** in PAGA penalties, with 65% (**\$19,500.00**) payable to the Labor and Workforce Development Agency and 35% (**\$10,500.00**) distributed to aggrieved employees; and (5) the remaining net amount distributed *pro rata* to Participating Class Members based on workweeks worked during the class period.

Individual class payments will be structured with 10% allocated to wage claims (reported on Form W-2 with tax withholding) and 90% allocated to interest and penalties. A distinctive feature of this settlement is that all class members will receive automatic distributions without the requirement of submitting claim forms, significantly enhancing the recovery rate.

The settlement provides for a broad release of all claims alleged in the complaint, including wage and hour claims and PAGA penalties, while Defendant expressly denies any liability or wrongdoing. The parties calculate that the maximum realistic recovery at trial would be approximately \$648,139.13, making this settlement represent roughly 62% of the estimated full recovery, a favorable result given the risks and costs of continued litigation.

The proposed notice program includes direct mailing to all identifiable class members using Defendant's payroll records, with address searches for undeliverable notices. Class members will have 60 days (plus an additional 14 days for re-mailed notices) to opt out or object. The settlement administrator will file a declaration of compliance prior to the final approval hearing, and all disbursements must occur within 14 days after Defendant funds the settlement amount.

Analysis

The primary determination is whether the proposed settlement is "fair, reasonable, and adequate" under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801. The factors include "the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the

presence of a governmental participant, and the reaction to the proposed settlement." (See also, *Amaro v. Anaheim Arena Mgmt., LLC*, *supra*, 69 Cal.App.5th 521.)

California law provides guidance concerning judicial approval of class action settlements. First, public policy favors settlement (*Neary v. Regents of Univ. of Cal.* (1992) 3 Cal.4th 273), but the court must not approve an agreement contrary to law or public policy (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127). Moreover, "[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter." (*Cal. State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) Consequently, courts have noted that *Neary* does not apply where public rights are implicated, because "[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutary purpose." (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

Attorneys' Fees

Plaintiff seeks attorney fees of **\$133,403.33** representing one-third of the total settlement amount, relying on the common fund doctrine. Even under the common fund theory, however, the fee award should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the lodestar cross-check as a method to determine whether the percentage allocated is reasonable. The Court stated: "If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment." (*Id.* at p. 505.) Following typical practice, however, the Court will not consider the fee award at this preliminary approval stage, but reserves review for final approval.

Similarly, litigation costs of and the requested representative payment of \$10,000.00 for Plaintiff will be reviewed at the time of final approval. Criteria for evaluating representative payment requests are discussed in *Clark v. American Residential Services, LLC* (2009) 175 Cal.App.4th 785, 804-807.

Ruling

1. **Preliminary Approval.** This motion is **granted**. The Court preliminarily approves the Class Action and PAGA Settlement Agreement ("Settlement Agreement") entered into between Plaintiff Elsa Bautista and Defendant Dianne Adair Day Care Centers. The Court finds that the settlement amount of **\$400,250.00** and the allocation set forth therein fall within the range of reasonableness warranting notice to the settlement class. Counsel are directed to prepare an order reflecting this ruling, the other findings in the previously submitted proposed order, attaching a copy of this ruling.
2. **Conditional Class Certification.** For settlement purposes only, the Court conditionally certifies the following class: All current and former non-exempt California employees of Defendant who worked for Defendant in California at any time during the period from August 27, 2020, through February 15, 2026.
3. **Class Representative and Class Counsel.** The Court preliminarily approves Elsa Bautista as Class Representative and Otkupman Law Firm, A Law Corporation, as Class Counsel, finding that they have satisfied the requirements of adequate representation under California law.
4. **Settlement Administrator.** The Court approves Apex Class Action, LLC as Settlement Administrator and authorizes settlement administration costs in an amount up to **\$15,000.00**

5. **Notice Program.** The Court approves the form and content of the Class Notice and Request for Exclusion attached as Exhibits "C" and "D" to the Otkupman Declaration. The Settlement Administrator shall mail the Class Notice to all Class Members for whom addresses are reasonably ascertainable from Defendant's records no later than 14 days after receiving the class data from Defendant. For notices returned as undeliverable, the Administrator shall conduct address searches and re-mail within three business days.
6. **Opt-Out and Objection Period.** Class Members who wish to exclude themselves from the settlement must submit a written Request for Exclusion postmarked no later than 60 days after the initial mailing of the Class Notice (plus an additional 14 days for re-mailed notices). Objections to the settlement must be submitted no later than the same deadline. No PAGA employee may opt out of the PAGA portion of the settlement.
7. **Service Payment and Attorneys' Fees.** The Court preliminarily approves: (a) a service payment of **\$10,000.00** to Plaintiff Elsa Bautista; (b) PAGA penalties of **\$30,000.00** (allocated 65% to the Labor and Workforce Development Agency and 35% to Aggrieved Employees); and (c) attorneys' fees of **\$133,403.33** (33.33% of the gross settlement amount), plus reasonable costs subject to proof, to be paid to Class Counsel, with a 5% retention pending final approval. Final approval of these amounts is reserved pending the final approval hearing.
8. **Reservation of Rights.** This Order constitutes preliminary approval only and does not constitute a final determination of the fairness, reasonableness, or adequacy of the settlement, nor an endorsement of the merits of the underlying claims or defenses. The Court reserves the right to modify the settlement terms or deny final approval if the settlement fails to prove fair, reasonable, and adequate.
9. **Final Approval Motion.** Counsel are ordered to obtain a hearing date for the motion for final approval from the Department clerk. Other dates in the scheduled notice process should track as appropriate to the hearing date. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs' counsel are to submit a compliance statement one week before the compliance hearing date, which shall include the matters necessary to comply with Code of Civil Procedure section 384(b).
10. Notwithstanding any contrary provision in the settlement agreement, 5% of the attorney's fees are to be withheld by the administrator until released by the Court after review of the compliance statement.
11. Plaintiff's Counsel shall prepare a proposed order consistent with this ruling, attaching a copy of this tentative ruling no later than ten (10) days from the date of this hearing.
12. No appearance is required at the hearing on September 9, 2026.

14. 9:00 AM CASE NUMBER: C24-03035
CASE NAME: ABDUL LATIFI VS. SAMMAH ENTERPRISE INC
BE RELIEVED AS COUNSEL RE: KYLE L. SCHRINER
FILED BY: SAMMAH ENTERPRISE INC

TENTATIVE RULING:

Summary

This tentative ruling applies to Lines 14, 15, and 17, which are the following motions:

1. Bibiyan Law Group's Motion to be Relieved as Counsel for Plaintiff Abdul Latifi filed by Gayane Ghandilyan, Esq. and Aspen Paxson, Esq. on April 13, 2026, with the original hearing date of

September 9, 2026 in the PAGA Case (C25-02567). This Motion is **moot** as the Court executed the order relieving Plaintiff's counsel on August 6, 2026. The hearing on September 9, 2026 is **vacated**. No appearance is required by Plaintiff's former counsel.

2. Bibiyan Law Group's Motion to be Relieved as Counsel for Plaintiff Abdul Latifi filed by Gayane Ghandilyan, Esq. and Aspen Paxson, Esq. on April 13, 2026, with the original hearing date of October 7, 2026 in the Class Action case (C24-03035). This Motion is **moot** as the Court executed the order relieving Plaintiff's Counsel on August 6, 2026. The hearing on September 9, 2026 is **vacated**. No appearance is required by Plaintiff's former counsel.
3. Schriener Law Firm PC's Motion to be Relieved as Counsel for Defendant Sammah Enterprises, Inc. dba Papa John's Pizza-Walnut Creek, filed by Kyle L. Schriener, Esq. on January 14, 2026, and originally set for hearing on April 8, 2026. This hearing was continued to September 9, 2026. This motion is **granted**. No appearance is required.

Background

Plaintiff Abdul Latifi ("Plaintiff"), an individual acting on behalf of others similarly situated, filed a Class Action Complaint (C24-03035) and a Complaint under the Private Attorney General Act ("PAGA") (C25-02567). Plaintiff is represented by the same law firm, Bibiyan Law Group, P.C., as attorneys of record. Defendant Sammah Enterprise Inc. dba Papa John's Pizza ("Defendant") entered an appearance in both cases. In the class action lawsuit, Defendant is represented by Schriener Law Firm, P.C. In the PAGA case, Defendant is self-represented, according to the register of actions.

Now, Defendant's Counsel seeks to be relieved as Counsel of Record in the class action lawsuit.

Analysis

California Rules of Court, rule 3.1362 and Code of Civil Procedure section 284 set forth the standard and procedure to be relieved as counsel of record. The Code permits an attorney to be changed at any time before or after judgment or final determination "upon the consent of both client and attorney," or "upon the order of the court, upon the application of either client or attorney, after notice from one to the other."

Furthermore, as Defendant's Counsel represents in his declaration to this Court, the California Rules of Professional Conduct set forth specific grounds under which an attorney is permitted to withdraw from representing a client as follows:

CRPC 1.16(b)(4): A lawyer may withdraw if the client by other conduct renders it unreasonably difficult for the lawyer to carry out the representation effectively.

CRPC 1.16(b)(5): A lawyer may withdraw if the client breaches a material term of an agreement with, or obligation to, the lawyer relating to the representation, and the lawyer has given the client a reasonable warning after the breach that the lawyer will withdraw unless the client fulfills the agreement or performs the obligation.

Defendant's Counsel has complied with the provisions of this rule and statute providing notice to Plaintiff and supporting this motion with a declaration articulating the reasons for withdrawal.

The Court finds that there is good cause to grant this Motion to relieve Withdrawing Counsel. The Court acknowledges that the prejudice to Defendant is minimal, as there is ample time for Defendant

to retain new trial counsel. A trial in this case has not been set.

However, the Court is concerned that Defendant is a corporation. California law does not permit corporate entities to litigate an action in *propria persona*. Defendant will be required to retain counsel in both cases.

After reviewing the papers and arguments submitted by counsel and after considering and weighing the prejudice to both sides, and reviewing the relevant statutory and decisional authority, the Court finds that there is good cause to grant the Motion of Withdrawing Counsel to be Relieved as Counsel of Record. The Court makes the following orders:

Conclusion

1. Schrinier Law Firm PC's motion to be relieved as Counsel of Record for Defendant is **granted**.
2. The Court will execute the Proposed Order Granting Attorney's Motion to be Relieved as Counsel (Judicial Council Form MC-053) lodged on January 14, 2026. The withdrawal shall be effective upon filing of proof of service of this Order and Form MC-040 on Defendant.
3. Prior to the effective date of withdrawal, Defendant's Counsel is ordered to serve a copy of the Order (MC-053) to his former client by mail at the last known address, along with a change of address form, Judicial Council Form MC-040, instructing the client to fill out and file the change of address form with the Court.
4. Withdrawing Counsel shall file a proof of service form indicating that the client was served with the Court's Order (MC-053) and the Change of Address form (MC-040).
5. The Court schedules a Case Management Conference for December 10, 2026 at 8:30 a.m. Withdrawing Counsel shall provide notice to Defendant of this CMC and inform Defendant that they are ordered to appear.
6. The Clerk of the Court shall send written notice of the CMC for December 10, 2026 at 8:30 a.m. to Defendant in *propria persona*.
7. No appearance is required at the hearing on September 9, 2026.

15. 9:00 AM CASE NUMBER: C24-03035
CASE NAME: ABDUL LATIFI VS. SAMMAH ENTERPRISE INC
BE RELIEVED AS COUNSEL
FILED BY:
TENTATIVE RULING:
See Line 14.

16. 9:00 AM CASE NUMBER: C25-00727
CASE NAME: PATRICIA WELLER VS. CALIFORNIA HEALTH AND HUMAN SERVICES AGENCY
1ST AMENDED COMPLAINT
FILED BY: CALIFORNIA HEALTH AND HUMAN SERVICES AGENCY
TENTATIVE RULING:

Defendants California Health and Human Services and Department of Social Services ("Defendants")

bring this demurrer to the First Amended Complaint (“FAC”) of plaintiff Patricia Weller (“Plaintiff”). Defendants challenge the FAC in its entirety and each of the two individual claims against them.

For the reasons discussed below, the Court **OVERRULES** Defendants’ demurrer based on failure to make a timely government claim and **SUSTAINS** the demurrer to the first and second causes of action for failure to state facts sufficient to constitute a cause of action.

Meet and Confer

The meet and confer requirement has been satisfied. (Stephen R. Weinmann Decl., ¶¶ 2-3; Code Civ. Proc., § 430.41, subd. (a)(3)(A).)

Legal Standard for Demurrer

In ruling on a demurrer, a court must treat as true all properly pleaded material facts contained in the complaint, but not contentions, deductions or conclusions of fact or law. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) “We also accept as true facts which may be inferred from those expressly alleged.” (*Cundiff v. GTE Cal., Inc.* (2002) 101 Cal.App.4th 1395, 1405.) A demurrer challenges “the sufficiency of the allegations in a complaint as a matter of law,” not the truth of the factual allegations in the pleading or the pleader’s ability to prove those allegations. (*Id.*, at pp. 1404-1405.)

Questions of fact cannot be decided on demurrer. (*Berryman v. Merit Prop. Mgmt., Inc.* (2007) 152 Cal.App.4th 1544, 1556.) Because a demurrer tests only the sufficiency of the complaint, a “court will not consider facts which have not been alleged in the complaint unless they may be reasonably inferred from the matters which have been pled or are proper subjects of judicial notice.” (*Hall v. Great W. Bank* (1991) 231 Cal.App.3d 713, 718, fn.7.) “[A]t the demurrer stage the complaint must be construed in the light most favorable to the plaintiff.” (*Wilson v. Houston Funeral Home* (1996) 42 Cal.App.4th 1124, 1138.)

In ruling upon demurrers, courts treat as being true “not only the complaint’s material factual allegations, but also facts that may be implied or inferred from those expressly alleged.” (*Poseidon Development, Inc. v. Woodland Lane Estates* (2007) LLC, 152 Cal.App.4th 1106, 1111-1112.) “Liberality in permitting amendment is the rule, if a fair opportunity to correct any defect has not been given.” (*Angie M. v. Superior Court* (1995) 37 Cal.App.4th 1217, 1227.) “However, leave to amend should not be granted where, in all probability, amendment would be futile.” (*Foroudi v. The Aerospace Corp.* (2020) 57 Cal.App.5th 992, 1000 [citations and internal quotes omitted].)

Requests for Judicial Notice

RJN ISO Demurrer

Defendants request that the Court take judicial notice of a declaration of Angelica Ramos, a custodian of records for the Government Claims program at the Department of General Services. (RJN ISO Demurrer, p. 2.) Defendants argue this is proper under Evidence Code section 452, subdivision (c), which allows the court to take judicial notice of the official records of a state agency, as well as records and files of state administrative boards. Defendants cite *Fowler v. Howell* (1996) 42 Cal.App.4th 1746, 1752-1753, for the proposition that the appellate court in “*Fowler* found the trial

court properly took judicial notice of the fact that the records of the State Board of Control did not contain a claim filed by the plaintiff regarding the defendant's allegedly false allegations. The request for judicial notice was granted based on the declaration of a board employee who searched the records and declared no claim had been filed." (RJN ISO Demurrer, p. 2.)

RJN ISO Opposition

Plaintiff requests that the Court take judicial notice of a document from the legislative history of AB 1523, an Assembly Third Reading dated April 1, 2014, which is in regards to the enactment of Health & Safety Code section 1569.605. (RJN ISO Opposition, pp. 1-2.)

RJN Ruling

Defendants' objection to Plaintiff's request for judicial notice is **overruled**. The Court **GRANTS** Defendants' request for judicial notice and Plaintiff's request for judicial notice, as to the existence of the documents but not the truth of the matters asserted therein. (Evid. Code, § 452, subd. (c).) "Taking judicial notice of a document is not the same as accepting the truth of its contents or accepting a particular interpretation of its meaning. While courts take judicial notice of public records, they do not take notice of the truth of matters stated therein. When judicial notice is taken of a document, ... the truthfulness and proper interpretation of the document are disputable." (*Herrera v. Deutsche Bank Nat'l Trust Co.* (2011) 196 Cal.App.4th 1366, 1375.)

Background: Facts Alleged in FAC

Plaintiff filed this action on March 13, 2025, and filed the first amended complaint ("FAC") on September 11, 2025. (FAC, p. 1.) Plaintiff alleges claims against Defendants for: (1) breach of statutory duty as to state agencies; and (2) gratuitous undertaking. (FAC, pp. 2-4.)

Plaintiff alleges that she was born on February 16, 1934, and at all times relevant, was a resident of Walnut Creek Willows, a residential care facility for the elderly, doing business at 2015 Mount Diablo Blvd., Walnut Creek, California. (FAC, ¶ 1.) The owner of the Walnut Creek Willows was and is Razel & Ruztin, LLC (Razel & Ruztin). (*Ibid.*) Plaintiff's residence at the care facility began on or around May 4, 2022, and ended on November 15, 2023, when she was severely beaten by a resident at the Walnut Creek Willows. (*Ibid.*) On December 6, 2024, a bankruptcy court discharged plaintiff's claim against Razel & Ruztin at which time the cause of action herein accrued. (*Id.* at ¶ 3.) Plaintiff mailed a claim against these defendants to Department of General Services, 707 Third St., West Sacramento, CA 95605 on December 9, 2024. (*Ibid.*)

Razel & Ruztin did not carry state mandated liability insurance (which requires a \$1,000,000 policy). (FAC, ¶¶ 5, 10.) Despite the Defendants requiring Razel & Ruztin to produce its insurance certificate by June 28, 2023, they did not produce it, yet Defendants did not withhold Razel & Ruztin's license as a residential care facility. Plaintiff claims that this led to Plaintiff being severely beaten by another resident on November 15, 2023, and Razel & Ruztin filing for bankruptcy because they did not have insurance. (*Id.* at ¶¶ 4-12.)

Plaintiff seeks damages according to proof. (FAC, p. 4.)

Discussion

Plaintiff asserts that the State of California is the demurring party and that the State of California is not a defendant, does not have standing to demurrer, and that the defendants have not demurred. The Court finds that the named defendants are being represented by the California Attorney General and there is no merit to this argument.

Failure to File Timely Government Claim

Defendants argue that the Court should sustain the demurrer because Plaintiff has failed to file a timely government claim. (Demurrer, pp. 11-12.) The complaint alleges that the claim was mailed on December 9, 2024, but the injury causing event, the attack by another resident, took place on November 15, 2023, so the claim was mailed more than one year after the incident and the time to present a claim for injury to a person is six months. (*Id.* at p. 11.) Even if the claim accrued at the time Razel & Ruztin's liability was "discharged" on December 6, 2024, as alleged in FAC paragraph 3, there still has been no claim presented as per the declaration of Angelica Ramos, which Defendants have requested the Court to take judicial notice of. (*Id.* at p. 12.)

Plaintiff asserts that the FAC does not allege a claim for personal injury, but rather it alleges a failure to ensure that the care facility had the state required insurance. (Opposition, p. 1.) Plaintiff further argues that receipt of the government claim is not required and the FAC alleges that Plaintiff mailed the government claim on December 9, 2024. (*Id.* at p. 2.)

On reply, Defendants reiterate that the date Plaintiff's claim accrued was the date she was injured by the attack on November 13, 2023. (Reply, p. 3.) Defendants assert that Plaintiff was on constructive notice that if the party responsible was insolvent, that she would need to resort to the mandated insurance and that failure to discover the factual basis for a claim against a public entity does not delay accrual. (*Ibid.*) Defendants contend that even if the Court accepts the contention that the proper time for Plaintiff to have presented the claim is one year and that the claim did not accrue until December 2024, the only authority Plaintiff cites to support the position that receipt is not required is Government Code section 915. (*Id.* at p. 4.) And further, "Plaintiff effectively concedes she has no proof that the government claim was ever mailed, by failing to even put in a declaration by anyone who actually mailed or caused the claim to be mailed to counter the sworn declaration of Angelica Ramos." (*Ibid.*)

Here, the Court finds for the purposes of this pleading challenge that Plaintiff is not alleging a personal injury claim against Defendants, but rather is asserting a claim for breach of statutory duty, which would carry a one-year time to file a government claim. (FAC, ¶¶ 4-12; Gov. Code, § 911.2, subd. (a).) The allegation of mailing is sufficient for pleading purposes. (See *Perez v. Golden Empire Transit Dist.* (2012) 209 Cal.App.4th 1228, 1237 [147 Cal.Rptr.3d 709].) "The claim, amendment, application, or notice shall be deemed to have been presented and received at the time of the deposit." (Gov. Code, § 915.2, subd. (a).)

Regarding Defendants' argument that the claim accrued on the date of the attack, November 15, 2023 (Demurrer MPA, p. 11; Reply, p. 3), that would be based on injuries attributable to the physical attack, not based on the failure of Defendants to have pulled the license of the residential care home for not having insurance. "Traditionally at common law, a cause of action accrues when [it] is complete with all of its elements—those elements being wrongdoing, harm, and causation. . . . This is

the 'last element' accrual rule . . .” (*Aryeh v. Canon Business Solutions, Inc.* (2013) 55 Cal.4th 1185, 1191.) Here, the last element of any claim Plaintiff would have against Defendants based on the failure to pull the license of the Walnut Creek Willows for not having insurance needs harm and the harm from this is not alleged to have occurred until the bankruptcy court discharged Plaintiff’s claim against the owner of Walnut Creek Willows on December 6, 2024. A lawsuit prior to that date would not have been ripe.

Further, the Court cannot determine disputed questions of fact on demurrer, and factual allegations in a complaint are deemed true. Thus, the declaration of Angelica Ramos will not be utilized to disregard the factual allegation in the FAC that Plaintiff mailed a government claim on December 9, 2024. *Fowler* is distinct from the case here because in *Fowler* the plaintiff did not allege in the complaint that he complied with the government claim procedure. (*Fowler v. Howell* (1996) 42 Cal.App.4th 1746, 1749 [Defendant “contended that Fowler failed to file a claim under the California Tort Claims Act, prior to bringing the lawsuit. [Citations.] In response, Fowler argued that he was not required to file a claim...”].) Here, Plaintiff has affirmatively pled that they made a government claim and facts pleaded in a complaint are deemed true for the purposes of a demurrer.

Regarding Defendants’ argument that “Plaintiff effectively concedes she has no proof that the government claim was ever mailed, by failing to even put in a declaration by anyone who actually mailed or caused the claim to be mailed to counter the sworn declaration of Angelica Ramos.” (Reply, p. 4.) “[A] hearing on demurrer cannot be turned into a contested evidentiary hearing.” (*Unruh-Haxton v. Regents of University of California* (2008) 162 Cal.App.4th 343, 365.) Here, Defendants are overreaching far beyond the scope of a demurrer. Plaintiff does not need to submit “proof” to defeat a demurrer, it is based on the allegations of the FAC.

The Court **overrules** Defendant’s demurrer to the FAC based on failure to timely file a government claim.

First Cause of Action for Breach of Statutory Duty as to State Agencies

Defendants argue that Plaintiff’s claim for “breach of statutory duties” fails because it does not identify a specific statute or state facts supporting jurisdiction for a claim against Defendants. (Demurrer, p. 12.) Defendants cite *Searcy v. Hemet Unified School Dist.* (1986) 177 Cal.App.3d 792, 802, for the quote that “[I]n California all government tort liability is dependent on the existence of an authorizing statute or ‘enactment’ [citations], and to state a cause of action every fact essential to the existence of statutory liability must be pleaded with particularity, including the existence of a statutory duty. [Citation].” (Demurrer, p. 12.) “Health and Safety Code section 1569.605 does not expressly declare either HHSA or CDSS to be liable, nor does it create a specific duty of care owed to Plaintiff.” (*Id.* at p. 13.) Defendant argues that there is no duty, let alone a mandatory duty, for Defendants to suspend a license or notify Plaintiff that Walnut Creek Willows was illegally conducting business without insurance. (*Ibid.*) Defendants argue that even if there were a mandatory duty, there still must be causation, which is lacking here. (*Id.* at pp 13-14.) Defendants finally assert that Plaintiff does not have standing to challenge the granting of a license to operate Walnut Creek Willows as they are not a party to the license. (*Id.* at p. 14.)

Plaintiff in opposition asserts that “*Powell v. Cal.*, 234 Cal. App. 3d 910, 916-917 (1991) stands for the proposition that when the state or its agencies are not required to obtain proof of insurance, a cause

of action cannot be stated. However, when proof of insurance is required, there is a duty.” (Opposition, p. 3.) Plaintiff asserts that such a duty was pled at paragraphs 7 and 8 of the FAC. Plaintiff argues that although Section 1569.605 does not say the state has an obligation to ensure compliance, the state knows why the statute was enacted and the cost it would incur, as the Assembly Third Reading stated that this statute would have minor costs to the DSS in the range of \$32,000 to ensure each facility complies with the insurance requirement. (*Id.* at p. 4.)

Defendants argue in reply that there is no private cause of action to enforce Health & safety Code section 1569.605 and that the legislative history Plaintiff requested judicial notice of does not change this. (Reply p. 5.) The lack of any mention of financial consequences to the State in the event of a licensee’s failure to have insurance is evidence that there was no intention to create a private right of action. (*Ibid.*) Further, the estimated cost of \$32,000 shows that there was no intent to create a private right of action because if there were a private right of action there would be potentially massive costs from such an insurance requirement with a mandatory duty of enforcement. (*Ibid.*)

Here, the case Plaintiff cites, *Powell v. Cal.* (1997) 234 Cal.App.3d 910, shows that Health and Safety Code section 1569.605 does not create a mandatory duty that would require Defendants to rescind the license of Walnut Creek Willows or shut them down for not complying with the requirement to maintain insurance. Plaintiff is correct in the statement that “the proposition that when the state or its agencies are not required to obtain proof of insurance, a cause of action cannot be stated,” but Plaintiff is incorrect to portray Section 1569.605 as requiring the state to obtain proof of insurance.

In *Powell*, the plaintiff, a 19-month-old child, lost three fingers in an accident at a daycare facility that did not have the required insurance. (*Powell, supra*, 234 Cal.App.3d at 912.) The owner was destitute and judgment proof and nonetheless stipulated to entry of judgment against her in the amount of \$350,000. (*Id.* at p. 913.) The plaintiff sued the Department of Social Services (“DSS”) alleging that the DSS failed to monitor and regulate the day care where the injury occurred, which allowed it to continue operating without insurance and resulted in the situation where the plaintiff was unable to recover damages for his injury. (*Ibid.*) The trial court granted summary judgment in favor of the DSS and the court of appeal affirmed. (*Id.* at p. 912.)

The *Powell* court ruled that although the California Child Day Care Facilities Act required daycares to carry insurance in order to be registered, “The act does not require a family day-care home to file with DSS proof of insurance or proof of compliance with the affidavit alternative.” (*Powell, supra*, 234 Cal.App.3d at 914.) *Powell* discussed other cases that came to different results and distinguished them, “in both *Morris* and *Elson* the permittees were required to file with the public entities specified proof of insurance, and the failure to file put the entities on notice that the permittees were out of compliance. There is no such requirement in the statutes before us. . .” (*Id.* at p. 916.)

For example, in *Morris v. County of Marin* (1977) 18 Cal.3d 901, a construction worker sustained injuries while working on a construction site that did not carry the required insurance. (*Id.* at p. 904.) In that case, the statute requiring insurance required the county defendant to “ascertain that each applicant for a building permit carries workers’ compensation insurance.” (*Morris, supra*, 18 Cal.3d at 910.) Labor Code section 3800, which was at issue in *Morris*, required a city or county that issues construction permits to “have on file” a “certificate of workers’ compensation insurance issued by an admitted insurer.” (1991 Lab. Code, § 3800 [reflecting 1968 version, as no textual changes in 1988 update].)

Here, the Health and Safety Code at issue, section 1569.605, does not require Defendants to actively police the insurance requirement and did not require Walnut Creek Willows “to file with the public entities specified proof of insurance. . .” (*Powell, supra*, 234 Cal.App.3d at 916.) The statute provides that:

On and after July 1, 2015, all residential care facilities for the elderly, except those facilities that are an integral part of a continuing care retirement community, shall maintain liability insurance covering injury to residents and guests in the amount of at least one million dollars (\$1,000,000) per occurrence and three million dollars (\$3,000,000) in the total annual aggregate, caused by the negligent acts or omissions to act of, or neglect by, the licensee or its employees.

(Health & Saf. Code, §1569.605.)

Without an authorizing statute, Plaintiff may not assert this claim against Defendants. (Gov. Code, § 815, subd. (a) [“Except as otherwise provided by statute: (a) A public entity is not liable for an injury, whether such injury arises out of an act or omission of the public entity or a public employee or any other person.”].)

Plaintiff’s request for judicial notice to the legislative history does not change this result. “Only when the language of a statute is susceptible to more than one reasonable construction is it appropriate to turn to extrinsic aids, including the legislative history of the measure, to ascertain its meaning. (*Diamond Multimedia Systems, Inc. v. Superior Court* (1999) 19 Cal.4th 1036, 1055.) Here, the statute is clear, and the legislative history is not needed to ascertain the meaning of the code.

The Court in *Powell* addressed the situation here as such:

The government undertakes licensing and inspection activities to insure public health and safety. The Legislature has apparently concluded that it is better public policy to leave an injured person to his remedy against the person actually causing the injury than it is to impose an additional liability on the government for negligently failing to prevent the injury, presumably because imposition of such liability would expose public entities to virtually unlimited risks and certain bankruptcy. Although in this instance Holt’s insolvency makes Bijan’s remedy against her ineffective, ‘[f]ar more persons would suffer if government did not perform [its inspection] functions at all than would be benefited by permitting recovery in those cases where the government is shown to have performed inadequately.’

(*Powell v. Cal.* (1991) 234 Cal.App.3d 910, 917.)

The Court **sustains** Defendants’ demurrer to the first cause of action for breach of statutory duty.

Second Cause of Action for Gratuitous Undertaking

Defendants argue that this claim fails because it sounds in negligence and there is no liability for public entities for negligence in the absence of a special relationship between the plaintiff and the public entity. (Demurrer, pp. 14-15.)

Plaintiff argues that Defendants did not establish that a public entity's omission to do something it voluntarily agreed to cannot support a gratuitous undertaking theory and that requiring the facility to provide confirmation of insurance coverage within seven days of the annual site inspection created a duty to ensure proof was given. (Opposition, p. 4.)

On reply, Defendants argue that this claim is unsupported by any legal authority and that it sounds in negligence but is unsupported by any statute. (Reply, p. 6.) Defendants argue that Plaintiff has not shown how Defendants agreed to voluntarily undertake to ensure that licensees have insurance.

In *Morgan v. County of Yuba* (1964) 230 Cal.App.2d 938, the court addressed a claim of gratuitous undertaking against a county based on allegations that a sheriff informed a woman that he would notify her if a person they arrested got out on bail—the sheriff did not do this and the woman was murdered. (*Id.* at p. 941.) In an action by the woman's children, the court held that "We have shown above that reliance upon the promise is a necessary element of the cause of action and in the case at bench reliance has not been pleaded. It is not alleged that the promise made created an expectation of fulfillment; nor is it alleged that but for such reliance and expectation, plaintiffs could and would have taken appropriate measures themselves against Ashby's threatened assault." (*Id.* at p. 945.)

Here, Plaintiff similarly has alleged no promise of Defendants to Plaintiff relating to the insurance requirement and has not shown any special relationship between Plaintiff and Defendants. The transaction between Walnut Creek Willows and Defendants cannot be construed to be a promise by Defendants to Plaintiff.

The Court **sustains** the demurrer to the second cause of action for gratuitous undertaking.

Ruling

Based on the analysis above, the Court **OVERRULES** Defendants' demurrer based on failure to make a timely government claim and **SUSTAINS** the demurrer to the first and second causes of action for failure to state facts sufficient to constitute a cause of action. Plaintiff may file and serve a second amended complaint within 15 days of notice of entry of this order. (Code Civ. Proc. § 472b; CRC, rule 3.1320(g).)

17. 9:00 AM CASE NUMBER: C25-02567
CASE NAME: ABDUL LATIFI VS. SAMMAH ENTERPRISE INC,
BE RELIEVED AS COUNSEL FOR PLTF
FILED BY:
TENTATIVE RULING:
See Line 14.

18. 9:00 AM CASE NUMBER: C25-03757

CASE NAME: CATHAY BANK, VS. CHRISTINA SEELYE

HEARING ON DEMURRER TO: COMPLAINT

FILED BY: SEELYE, CHRISTINA

TENTATIVE RULING:

This motion **continued** by the Court to October 21, 2026 at 9:00 a.m. Briefing is closed. No appearance is required at the hearing on September 9, 2026.

19. 9:00 AM CASE NUMBER: C26-00271

CASE NAME: EUNA EIM VS. JOSE LOPEZ

HEARING ON DEMURRER TO: COMPLAINT

FILED BY: LOPEZ, JOSE

TENTATIVE RULING:

Before the Court is a demurrer to the complaint. For the reasons set forth, the Court rules as follows: general demurrer to the seventh cause of action is **sustained, with leave to amend**, and all other demurrers are **overruled**, as set forth below.

Background

Plaintiff Euna Eim alleges that she is a tenant conducting a Korean barbecue restaurant business in Units D and E (the "Premises") of the property located at 1450 Monument Boulevard (the "Property"). (Compl. ¶¶ 1, 7.) She alleges that defendant Jose Lopez is the "landlord" of the Premises, and defendant Los Hermanos Lopez, LLC is the owner of the Property. (Compl. ¶ 2; *but see* Compl. ¶ 7 [alleging Lopez and Los Hermanos are both the landlords].) She alleges there was a "first" lease dated in 2017 and then a second lease dated January 1, 2022 between Plaintiff and Los Hermanos, a copy of which is attached as Exhibit A to the complaint (the "Lease"). (Compl. ¶ 8 and Exh. A.)

Eim alleges that in 2012, she took over a portion of Unit C of the Property which was leased to a market with that portion being used as a restaurant pursuant to a "sublease contract." (Compl. ¶ 9.) She alleges the landlord "subdivided" the portion of Unit C she took over under the sublease ("subdivided Unit C") without the actual square footage of subdivided Unit C being stated. (Compl. ¶ 9.) She alleges that the landlord issued to Eim and the market monthly invoices for rent and related charges for the subdivided Unit C between 2013 and 2025, copies of some of which she attaches to the complaint collectively as part of Exhibit B. (Compl. ¶ 10 and Exh. B [invoices naming Korean Market and Korean BBQ, *see, e.g.*, pp. 2, 3].)

Plaintiff alleges in 2016, the landlord offered a new lease directly with Plaintiff. (Compl. ¶ 13.) She alleges that the October 2016 invoice (invoice dated 10/10/2016 included in Exh. B) billed a "flat" CAO (common area operating expense) fee of \$1,097.00 plus a separate line item for the PGE expense, as reflected on the face of the invoice cited. (Compl. ¶¶ 13, 14 and Exh. B, p. 5.) She alleges the landlord started including both the flat CAO and line items for insurance, taxes, and PG&E on the invoices starting with the November 2016. (Compl. ¶ 14 and Exh. B, p. 7.) She alleges the landlord "defrauded" her by "double" charging the CAO and the individual line items since November 2017.

(Compl. ¶ 14.)

Plaintiff alleges that she noticed a line item in the November 2018 invoice which she questioned the landlord about, but the landlord demanded she pay without an explanation for the charge, or the tenant could move out if she did not want to pay. (Compl. ¶ 15.) She alleges she was "scared" and did not raise questions. (Compl. ¶ 15.)

Plaintiff could not pay her rent for a few months in 2025. The landlord served a 3-day notice to pay rent or quit and commenced unlawful detainer proceedings. (Compl. ¶ 16.) She alleges she consulted with an attorney who found issues with the Lease and the CAO E billing. (Compl. ¶¶ 17, 18.) She hired an electrician who found that there was an electrical line that did not belong to her Premises connected to an electrical panel in her unit and that she has been paying excessive amounts for PGE bills for services to other portions of the Property as a result. (Compl. ¶¶ 19, 20 and Exh. C.) She also alleges a "water faucet outside the wall of her suite D is connected to her water meter for Unit D" and that she has been paying excessive water expenses. (Compl. ¶ 21.)

Plaintiff alleges eleven causes of action against defendants Lopez and Los Hermanos. The causes of action include breach of contract (1st C/A), breach of the implied covenant of good faith and fair dealing (2nd C/A), intentional misrepresentation (3rd C/A), negligent misrepresentation (4th C/A), unjust enrichment (5th C/A), civil theft under Penal Code section 496(c) (6th C/A), conversion (7th C/A), accounting and CAO E reconciliation (8th C/A), breach of the implied covenant of quiet enjoyment (9th C/A), declaratory relief (10th C/A), and injunctive relief (11th C/A). Plaintiff filed her complaint on March 13, 2026.

Defendants have demurred to all causes of action on the grounds they are time-barred, they fail to allege facts sufficient to state a cause of action, and they are uncertain and ambiguous. They also demur to the 3rd-7th, 10th, and 11th causes of action on the ground they are barred by the economic loss rule.

Legal Standards for Ruling on Demurrer

In ruling on a demurrer, the Court must accept as true all well-pled factual allegations of the complaint, but not legal or factual conclusions or contentions of law. (*City of Dinuba v. County of Tulare* (2007) 41 Cal. 4th 859, 865; *Carloss v. County of Alameda* (2015) 242 Cal. App.4th 116, 123.) In determining whether the complaint states a claim for relief, the Court gives the complaint "a reasonable interpretation, reading it as a whole and its parts in their context. [Citation omitted.]" (*Evans v. City of Berkeley* (2006) 38 Cal. 4th 1, 6.) A demurrer must dispose of an entire cause of action to be sustained. (*Daniels v. Select Portfolio Servicing, Inc.* (2016) 246 Cal.App.4th 1150, 1167, overruled in part on other grounds by *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 919; *PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682-1683.)

The Court also considers matters of which the Court can properly take judicial notice. (*Carloss, supra*, 242 Cal.App.4th at 123.) (*See also Evans, supra*, 38 Cal.4th at 6.) "As a general rule in testing a pleading against a demurrer the facts alleged in the pleading are deemed to be true, however improbable they may be. [Citation omitted.] The courts, however, will not close their eyes to situations where a complaint contains allegations of fact inconsistent with attached documents, or allegations contrary to facts which are judicially noticed. [Citations omitted.]" (*Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal.App.3d 593, 604 [emphasis added].) (*See also Sarale v. Pacific*

Gas & Electric Co. (2010) 189 Cal.App.4th 225, 245 [holding exhibit attached to the complaint contradicted the allegation that no easement existed, stating that the court accepts as true the facts appearing in exhibits attached to the complaint, and if the facts appearing in the exhibit "contradict those expressly pleaded, those in the exhibit are given precedence. [Citations.]" [Citation omitted.]]".)

A general demurrer may be sustained when the facts alleged show the action is barred by the statute of limitations. (*Vaca v. Wachovia Mortgage Corp.* (2011) 198 Cal.App.4th 737, 746.) To sustain a demurrer based on the statute of limitations, however, it must "clearly and affirmatively" appear on the face of the complaint that the cause of action is barred, not that it might be barred. (*Committee v. Green Foothills v. Santa Clara County Bd. of Supervisors* (2010) 48 Cal.4th 32, 42; *Lee v. Hanley* (2015) 61 Cal.4th 1225, 1232 [demurrer based on statute of limitations does not lie when the action may be, but is not necessarily, barred].)

Demurrers for uncertainty are disfavored. (*Lickiss v. Financial Industry Regulatory Authority* (2012) 208 Cal.App.4th 1125, 1135; *A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal.App.5th 677, 695 ["[U]nder our liberal pleading rules, where the complaint contains substantive factual allegations sufficiently apprising defendant of the issues it is being asked to meet, a demurrer for uncertainty should be overruled or plaintiff given leave to amend." [Citations omitted.]]). Generally, a complaint is sufficient if it pleads "ultimate" facts. (*C.A. v. William S. Hart Union High School Dist.* (2012) 53 Cal.4th 861, 872; *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 549-550.) "Ultimately, the complaint is sufficient if 'the adversary has been fairly apprised of the factual basis of the claim against him.'" [Citations, internal quotations omitted.]" (*Randall v. Ditech Financial, LLC* (2018) 23 Cal.App.5th 804, 810.)

In determining whether the complaint states a cause of action, the Court evaluates "whether a cause of action has been stated under any legal theory. [Citation omitted.]" (*Gomez v. Regents of University of California* (2021) 63 Cal.App.5th 386, 391.) (See also *Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38 ["If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer."].) If there is a reasonable possibility of amendment to cure the deficiencies in a complaint, then leave to amend must be granted. (*Quelimane Co., supra*, 19 Cal.4th at 39.)

Analysis

Demurrers to 1st and 2nd C/As for Breach of Contract and Breach of the Implied Covenant

The first and second causes of action define the "First Lease" made in 2017 (or in October 2016, *compare* Compl. ¶ 8 to ¶ 29) and a second lease entered into the 2022, collectively as the "LEASE." (Compl. ¶¶ 8, 28, and 36.) Only the 2022 Lease is attached to the complaint as Exhibit A.

Plaintiff alleges she agreed to pay a "flat" CAOFE under the Lease of \$1,097, subject to annual reconciliations pursuant to Section 4.2 of the Lease, but that she was charged both the "flat" CAOFE and the "actual pro rata share of CAOFE such as insurance, property tax and utility for the common areas." (Compl. ¶ 29.) She alleges that the Landlord breached the Lease "by charging CAOFE twice each month for the last 86 months." (Compl. ¶ 29.) She also alleges the Landlord breached Section 4.2 of the Lease because the CAOFE was supposed to include trash collection charges, and she alleges she "has been paying for the trash out of her pocket." (Compl. 30.) She also alleges the Landlord breached Section 38 of the Lease, which includes a covenant of quiet enjoyment of her Premises, because an

electric line connects to the utility panel in her Premises and a water meter for her unit covers such that she is being charged for electric and water service for the Property outside of her Premises. (Compl. ¶ 31.) Plaintiff alleges she performed all her obligations under the Lease through 2024. (Compl. ¶ 32.)

The second cause of action for breach of the implied covenant focuses on the Landlord's alleged failure to provide an annual reconciliation of the CAO and also that Plaintiff allegedly paid for electrical and water service that was servicing other portions of the Property, not just her Premises. (Compl. ¶¶ 37, 38.) She alleges that the Landlord's conduct in this regard breached the implied covenant of good faith and fair dealing.

A. Legal Background

The essential elements of a cause of action for breach of contract are "(1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff. [Citations omitted.]" (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821.) "[I]n California every contract contains an implied covenant of good faith and fair dealing that 'neither party will do anything which will injure the right of the other to receive the benefits of the agreement.' [Citations, internal omitted.]" (*Wolf v. Walt Disney Pictures & Television* (2008) 162 Cal.App.4th 1107, 1120.) The implied covenant of good faith and fair dealing is "an implied-in-law term of the contract," and "its breach will always result in a breach of the contract." (*Careau & Co. v. Security Pacific Business Credit, Inc.* (1990) 222 Cal.App.3d 1371, 1393-1394.)

A claim for breach of a written contract or an obligation "founded upon an instrument in writing" must be brought within four years from the date of the alleged breach. (Code Civ. Proc. § 337(a); *William L. Lyon & Associates, Inc. v. Superior Court* (2012) 204 Cal.App.4th 1294, 1307.) Generally, a cause of action accrues, and the statute of limitations commences to run, when it is " 'complete with all its elements.'" (*Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797, 806.) An exception to this rule is the "discovery rule," which the Court applied to a breach of contract claim in the *William L. Lyon & Associates* case. "When a breach of contract is committed in secret, such as the intentional nondisclosure of a real estate broker regarding a previously visible construction defect, the contractual limitations period is properly held subject to the discovery rule." (*William L. Lyon & Associates, Inc., supra*, 204 Cal. App. 4th at 1309.)

In addition, "[i]t is settled in California that periodic monthly rental payments called for by a lease agreement create severable contractual obligations where the duty to make each rental payment arises independently and the statute begins to run on such severable obligations from the time performance of each is due. [Citations omitted.]" (*Tsemetzin v. Coast Federal Savings & Loan Assn.* (1997) 57 Cal. App. 4th 1334, 1344.) (*See also Aryeh v. Canon Business Solutions, Inc.* (2013) 55 Cal.4th 1185, 1199 [cited by defendants, explaining the "continuous accrual" doctrine and applying the doctrine to a copier lessee's claim of excessive charges by the lessor in the monthly bills due under a copier lease].) Under the continuous accrual doctrine, "each alleged breach must be treated as triggering a new statute of limitations. [Citations omitted.] Aryeh [the copier lessee] cannot recover alleged excess charges preceding the four-year limitations period, but is not foreclosed from seeking recovery for charges to the extent they fall within that period. Because the complaint alleges excess charges within the four years preceding suit, it is not completely barred by the statute of limitations."

(*Id.* at 1200-1201 [emphasis added].)

Defendants' grounds for demurrer are asserted generally as to the first and second causes of action. Defendants have not made any arguments specifically directed to the second cause of action or cited authority to support that the second cause of action suffers from any defects different from the deficiencies they contend apply to the first cause of action.

B. Demurrer Based on Statute of Limitations

On the demurrer, the Court does not need to determine whether the delayed discovery rule would allow Plaintiff to pursue claims for breach of the Lease, either based on its express terms or the implied covenant, dating back ten years prior to the filing of the complaint. Under the *Aryeh* decision, the continuous accrual doctrine applies to the monthly charges imposed by the landlord. Defendants cite no authority that the continuous accrual doctrine does not apply in this circumstance given there was ongoing, periodic performance by the Landlord in the form of the CAOEE billing and the landlord allegedly allowing an electrical utility panel and water meter associated with the Premises to charge Plaintiff for utility services provided to other units or portions of the Property, which Plaintiff alleges resulted in breaches of the Lease. Plaintiff has alleged claims for excess charges within the four-year statute of limitations in these claims such that the statute of limitations would not completely bar this cause of action, and the demurrer to these causes of action cannot be sustained based on the statute of limitations as a result. (*Daniels, supra*, 246 Cal.App.4th at 1167; *PH II, Inc., supra*, 33 Cal.App.4th at 1682-1683.)

C. General Demurrer that Facts Alleged Do Not State A Claim for Breach of the Lease

Defendants argue that the claims for breach of the Lease by the landlord demanding excessive or double the amount of the CAOEE payments allowed under the Lease are based on a flawed reading of the Lease not supported on the terms of the Lease attached to the complaint. Plaintiff argues that contract interpretation of the Lease is not proper on a demurrer if Plaintiff's interpretation of the Lease is "plausible," where the contract language is "ambiguous or susceptible to more than one reasonable interpretation." (Opp. p. 10, ll. 25-28, citing *Aragon-Haas v. Family Security Ins. Services, Inc.* (1991) 231 Cal. App. 3d 232, 239 ["'[W]here an ambiguous contract is the basis of an action, it is proper, if not essential, for a plaintiff to allege its own construction of the agreement. So long as the pleading does not place a clearly erroneous construction upon the provisions of the contract, in passing upon the sufficiency of the complaint, we must accept as correct plaintiff's allegations as to the meaning of the agreement.' [Citation omitted.]" (Emphasis added).])

Plaintiff does not explain how Section 1.7 stating "Lessee's Share of Common Area Operating Expenses: fifteen and nine tenths percent (15.9 %)" and Section 1.9(b) stating "Common Area Operating Expenses: \$1,097.16 for the period January 1-31, 2022" are ambiguous or reasonably susceptible to an interpretation that the tenant's share of the CAOEE expense was a "flat" \$1,097 for the entire term of the Lease. (Compl. Exh. A [Lease Sections 1.7 and 1.9(b).]) The Lease defines the CAOEE in section 4.2(a) as encompassing ten categories of expenses set forth in subsections (i) through (x) of that section, including maintenance expenses, taxes, and insurance.

"Common area maintenance" expenses are commonly referred to as "CAM," which is the term used in some of the invoices during the time period covered by the second lease. (See Compl. Exh. B pp. 13-16.) The term "CAOEE" meaning "Common Area Operating Expenses" based on the unambiguous

terms of Section 4.2(a) of the Lease includes not only common area maintenance expenses, but other common area operating expenses such as real property taxes, insurance and others. (Compl. Exh. A [Lease Section 4.2(a)].) The invoices attached to the complaint from November 2016 forward (Exh. B, p. 6 *et seq.*) on their face do not show that Plaintiff was "double-charged" for CAOEs; they show she was charged for "CAM" or "common area maintenance" expenses (see Compl. Exh. A [Lease Sections 4.2(a)(i)-4.2(a)(iv)]) and separately for real property taxes and insurance (Compl. Exh. A [Lease Sections 4.2(a)(v) and 4.2(a)(vi)]).

The Court also finds no ambiguity in the provisions of Section 4.2(d) regarding the Landlord's duty to provide a written reconciliation. Section 4.2(d) specifically states that "The amount of such payments [i.e., CAOEs payments] shall be based on Lessor's estimate of the annual Common Area Operating Expenses. Within 60 days after written request (but not more than once each year) Lessor shall deliver to Lessee a reasonably detailed statement showing Lessee's Share of the actual Common Area Operating Expenses for the preceding year." (Compl. Exh. A [Lease Section 4.2(d) (emphasis added)]).

The Court cannot determine from the face of the complaint or the attached invoices whether the amounts charged reflect reasonable, good faith "estimates" of the CAOEs, but Plaintiff's allegations that she was double-charged for "flat CAOEs" and additional actual CAOEs are not supported by the Lease and invoices. (Compl. Exhs. A and B.) In addition, Lease Section 4.2(d) puts the onus on the tenant to make a written request for a reconciliation of the actual annual CAOEs to address whether there are differences between the landlord's estimated CAOEs invoiced to the tenant and the actual CAOEs incurred. Plaintiff does not explain how, given the plain language of Section 4.2(d), Plaintiff's allegations interpreting the Lease as creating an affirmative duty by the landlord to provide annual reconciliations without a written request is a "plausible" interpretation of the Lease provision. (See *Total Call Internat. Inc. v. Peerless Ins. Co.* (2010) 181 Cal. App. 4th 161, 173 [distinguishing *Aragon-Haas* and affirming trial court order sustaining a demurrer without leave to amend, where the Court found the insurance contract at issue was not ambiguous and rejected that the plaintiff's argument that it was bound to accept the plaintiff's allegations regarding the interpretation of the contract in that circumstance].)

Though Plaintiff's allegations regarding the CAOEs are contrary to the unambiguous terms of the Lease and the face of the invoices attached to the complaint, the arguments do not dispose of the entirety of the breach of contract and breach of the implied covenant causes of action. Plaintiff has also alleged breaches based on an electric utility line servicing portions of the Property other than her Premises being connected to an electric panel in her Premises and a water meter that, liberally construing the allegations, she contends is being billed to her Premises but includes service to other parts of the Property, resulting in Plaintiff being charged for utility services unrelated to her Premises. (Compl. ¶¶ 18.D, 18.E., 19-21, and 31 and Exh. C.)

The demurring parties do not address these additional alleged breaches in their papers. "Contentions are waived when a party fails to support them with reasoned argument and citations to authority. [Citations omitted.]" (*Moulton Niguel Water Dist. v. Colombo* (2003) 111 Cal.App.4th 1210, 1215.) The Court cannot sustain a demurrer to a cause of action if the demurrer fails to dispose of the cause of action in its entirety. (*Daniels, supra*, 246 Cal.App.4th at 1167; *PH II, Inc., supra*, 33 Cal.App.4th at 1682-1683.)

D. Demurrer for Uncertainty

The Court is also not persuaded that the facts alleged to support this cause of action are so uncertain or ambiguous as to warrant sustaining a demurrer for uncertainty. A complaint does not need to attach a written contract on which it is based. It is sufficient for purposes of a demurrer if the party pleads the legal effect of the contract, which Plaintiff has done as to the sublease and the 2017 lease. (*Construction Protective Services, Inc. v. TIG Specialty Ins. Co.* (2002) 29 Cal.4th 189, 199; *Miles v. Deutsche Bank National Trust Co.* (2015) 236 Cal.App.4th 394, 402 [on breach of contract claim, "plaintiff's failure to either to attach or to set out verbatim the terms of the contract [is] not fatal"].) Plaintiff has attached the 2022 Lease. Though the Court agrees that there may be some uncertainty or ambiguity in the allegations of the complaint regarding the "Lease" as defined by Plaintiff, the Court finds the complaint fairly apprises the defendants of the factual basis of Plaintiff's claim against them. (*Randall, supra*, 23 Cal.App.5th at 810.)

For these reasons, the demurrers to the first and second causes of action are **overruled**.

Demurrers to 3rd and 4th C/As for Intentional and Negligent Misrepresentation

Plaintiff contends that beginning in late 2016, the landlord issued invoices with an alleged "flat" CAO E amount and "intentionally billed PG&E as a separate item to see if Tenant could recognize such fraudulent miscategorization of CAO E items on the billing statement. Since Tenant did not recognize Landlords' intentional miscategorization of PG&E on the October 2016 invoice, Landlord got emboldened and started adding the rest of CAO E items such as insurance, tax, and PG&E on the invoice in addition to the FLAT CAO E, starting with his November 2016 invoice (page 7 of Exhibit B)." (Compl. ¶ 14.) She alleges later the practices continued since November 2017. (Compl. ¶ 14.) Plaintiff alleges that she noticed an extra line item charge in the January 2018 invoice that she questioned and apparently believed was improper. (Compl. ¶ 15.) She made an inquiry to the Landlord about the item, but he allegedly would not explain the charge and told her that if she did not want to pay it, she could move out. (Compl. ¶ 15.)

Plaintiff alleges that she was given "fraudulent billing" by the Landlord as she was invoiced for both a flat CAO E and the "actual costs" for CAO E. (Compl. ¶ 44.) She alleges the landlord failed to reconcile the CAO E and in that way "knowingly and intentionally" concealed that she was billed twice for the CAO E or was double charged. (Compl. ¶ 46.) Instead, she alleges that when she asked questions about the monthly rental invoice, the landlord "threatened" her to "move out if Tenant didn't want to pay." (Compl. ¶ 46.)

She also alleges fraud based on the electrical and water equipment. (Compl. ¶ 45.) She alleges that the Landlord "withheld information" from her about his use of the tenant's utilities and caused her to believe she was only paying for her own utility use. (Compl. ¶ 46.) She alleges she "reasonably relied" on the landlord for information about the Premises, the CAO E, and the electric equipment. (Compl. ¶ 48.) The negligent misrepresentation cause of action alleges the same essential factual basis. (Compl. ¶¶ 51-56.)

Plaintiff attempts to plead delayed discovery to support the timeliness of the intentional and negligent misrepresentation and her other claims. (Compl. ¶¶ 22-27.) As Plaintiff herself alleges in the complaint, the tolling of the statute of limitations under a delayed discovery theory extends only " 'until such time as a reasonable investigation would have revealed its factual basis.' " (Compl. ¶ 25

[quoting *Fox, supra*, 35 Cal.4th at 803.) Plaintiff alleges the following facts as her explanation for not having discovered the landlord's alleged fraud earlier: (1) she "trusted" the landlord to know about the Lease terms and CAO E calculation; (2) she did not "dream" the landlord would "disguise" the flat CAO E as owed when she had to pay the "actual costs of CAO E items"; and (3) she was afraid to talk to the landlord as she might have to move out immediately. (Compl. ¶ 26.) Notably, she alleges that when she consulted with a lawyer after she was given the three-day notice to pay rent or quit and eviction proceedings commenced, the lawyer pointed out what the invoices showed regarding the alleged billing for a flat CAO E and actual CAO E costs. (Compl. ¶¶ 17, 18.C.)

A. Legal Background

" 'The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or "scienter"); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.' [Citations omitted.]" (*Lazar v. Superior Court* (1996) 12 Cal. 4th 631, 638.) Each element must be alleged factually and specifically. (*Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal. App. 4th 221, 234; *Hall v. Department of Adoptions* (1975) 47 Cal.App.3d 898, 904.) The specificity requirement means that Plaintiff must allege facts "which 'show how, when, where, to whom, and by what means the representations were tendered.' " [Citation and internal quotations omitted.]" (*Lazar, supra*, 12 Cal.4th at 645 [quoting *Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 73].) (*See also Wilhelm v. Pray, Price, Williams & Russell* (1986) 186 Cal.App.3d 1324, 1331.) But less specificity is required in circumstances of fraudulent concealment or where the facts are in the possession of the defendant. (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 216, superseded by statute on other grounds ["Less specificity is required when 'it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy,' [citation omitted]"]; *Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal. App. 4th 1356, 1384 [addressing fraudulent nondisclosure claim, stating "As plaintiffs accurately respond, it is harder to apply this [specificity] rule to a case of simple nondisclosure. 'How does one show "how" and "by what means" something didn't happen, or "when" it never happened, or "where" it never happened?' "].)

Intentional misrepresentation is a form of fraud with the elements and subject to the pleading specificity requirements set forth above under *Rutherford Holdings, LLC v. Plaza Del Rey, supra*, 223 Cal. App. 4th 221, 234 and *Lazar v. Superior Court, supra*, 12 Cal.4th 631, 638. The elements of a claim for negligent misrepresentation are similar to intentional misrepresentation. A claim for negligent misrepresentation "does not require intent to defraud but only the assertion, as a fact, of that which is not true, by one who has no reasonable ground for believing it to be true.[Citation omitted.]" (*Conroy v. Regents of University of California* (2009) 45 Cal.4th 1244, 1255 [citing *Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 173-174].)

The statute of limitations for a claim for fraud is generally three years, but the claim is expressly subject to the discovery rule under Code of Civil Procedure section 338. (Code Civ. Proc. § 338(d) [claim for relief based on fraud or mistake to be brought within three years, but the cause of action "is not deemed to have accrued until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake."].) The California Supreme Court explained the operation of the delayed discovery rule in *Fox, supra*, stating that "under the delayed discovery rule, a cause of action accrues

and the statute of limitations begins to run when the plaintiff has reason to suspect an injury and some wrongful cause, unless the plaintiff pleads and proves that a reasonable investigation at that time would not have revealed a factual basis for that particular cause of action." (*Fox, supra*, 35 Cal.4th at 803 [emphasis added].)

"In order to rely on the discovery rule for delayed accrual of a cause of action, '[a] plaintiff whose complaint shows on its face that his claim would be barred without the benefit of the discovery rule must specifically plead facts to show (1) the time and manner of discovery and (2) the inability to have made earlier discovery despite reasonable diligence.' [Citation omitted.]" In assessing the sufficiency of the allegations of delayed discovery, the court places the burden on the plaintiff to 'show diligence'; 'conclusory allegations will not withstand demurrer.' [Citation omitted.] [¶] [T]o employ the discovery rule to delay accrual of a cause of action, a potential plaintiff who suspects that an injury has been wrongfully caused must conduct a reasonable investigation of all potential causes of that injury. If such an investigation would have disclosed a factual basis for a cause of action, the statute of limitations begins to run on that cause of action when the investigation would have brought such information to light. In order to adequately allege facts supporting a theory of delayed discovery, the plaintiff must plead that, despite diligent investigation of the circumstances of the injury, he or she could not have reasonably discovered facts supporting the cause of action within the applicable statute of limitations period." (*Id.* at 808-809 [emphasis added].)

B. Demurrers Based on Statute of Limitations

Plaintiff claims that the invoices she received over a period of years since late 2016 included improper "double billing" for both what she alleges is a flat CAO and actual CAO expenses. She admits that even though in January 2018 she noticed the issue with the invoice, she took no steps to investigate or dispute the charges she is now contesting as "fraudulent." She argues the Landlord concealed the alleged double-billing, but she admits the alleged double billing appears on the face of the invoices she received. She contends the Landlord failed to provide her with CAO reconciliations, but she does not allege that she demanded any such reconciliations, as she was entitled to request under section 4.2 of the Lease, or that she pursued any other inquiries regarding the CAO expenses listed on the face of the invoices despite her noticing the line items she contains were improper in the January 2018 invoice.

When a party is put on notice of facts that raise a reasonable suspicion of wrongdoing, the party cannot ignore those facts, not investigate, and then claim the benefit of the delayed discovery rule. (*WA Southwest 2, LLC v. First American Title Ins. Co.* (2015) 240 Cal.App.4th 148, 157 ["Reasonable diligence in such circumstances does not consist of ignoring a private placement memorandum received prior to making an investment. [Citations omitted.] This is not a case in which the plaintiff 'possessed no factual basis for suspicion.' [Citation omitted.]" The information and disclosures in the private placement memorandum put plaintiffs on notice of the falsity of any communications they may have received about the sales load, tax advantages, or risk-free nature of the investments. The delayed discovery rule does not apply.".) Plaintiff has not alleged facts showing that she conducted a reasonably diligent inquiry into the charges stated on the face of the invoices or that a reasonably diligent inquiry would not have disclosed what she alleges was fraudulent or double billing. Her allegations admit she made a conscious decision not to investigate further because she did not want to risk having to move, and she waited to investigate until she was facing eviction. Plaintiff has not

alleged facts to support application of the delayed discovery rule.

However, as defendants acknowledge in the reply, under the continuous accrual doctrine, Plaintiff can still pursue claims for the alleged fraudulent billing for invoices that are within the three-year limitation period, such that the statute of limitations would not completely bar this cause of action, and the demurrer cannot be sustained on that ground. (*Daniels, supra*, 246 Cal.App.4th at 1167; *PH II, Inc., supra*, 33 Cal.App.4th at 1682-1683.)

C. Demurrers Based on Failure to Plead Misrepresentation Claims with Specificity

Defendants argue that the misrepresentation claims are based on conclusory allegations rather than specific facts. They cite Plaintiff's allegations that (1) the landlord "intentionally refused to reconcile" the CAOЕ charges under the Lease (Compl. ¶ 45), but the Lease only requires the landlord to provide an annual reconciliation upon the tenant's written request (Compl. Exh. A [Lease Section 4.2(d)]; (2) the landlord "knowingly and intentionally" allegedly double billed Plaintiff for the CAOЕ charges (Compl. ¶ 46); (3) defendants "intended" Plaintiff to rely on the landlord's alleged fraud; and (4) Plaintiff reasonably relied on the landlord "for information about the Premises, FLAT CAOЕ, and the utility fees or the Premises." (Compl. ¶ 48.)

While the Court has rejected Plaintiff's contentions as to the landlord's affirmative duty to reconcile CAOЕ without a written request from the tenant and Plaintiff's position that she was "double billed" for both CAOЕ (rather than CAM) and for other components of CAOЕ based on the unambiguous provisions of the Lease and the invoices, Plaintiff also alleges the misrepresentation claims based on a theory of fraudulent concealment though that theory is not identified in the complaint. She alleges fraudulent concealment of the fact that the electrical and water equipment on her Premises were connected to and servicing parts of the Property other than her Premises and that her meters were being billed for utility usage supplied to other parts of the Property, facts which were concealed by the landlord though the landlord knew or should have known about this condition of the Property. (Compl. ¶ 45.) She alleges that the landlord "withheld information" from her about the landlord's use of the tenant's utilities and caused her to believe she was only paying for her own utility use. (Compl. ¶ 46.) (*See also* Compl. ¶¶ 51-56 largely reiterating the same factual allegations as the basis for the negligent misrepresentation cause of action.) She has alleged she only discovered the issue with the electric line servicing other parts of the Property being connected to the meter in her Premises through an electrician, as stated in Exhibit C to the complaint, which suggests the information was discovered in early 2026.

Defendants have not presented argument or legal authority to support that the concealment of the utility service/metering issue is not a legally viable basis to state intentional or negligent misrepresentation claims. The allegations regarding this basis for the misrepresentation claims state with sufficient specificity a fraudulent concealment theory regarding the utility service that the landlord knew or should have known about and concealed from her to her injury. (Compl. ¶¶ 45, 46, 52, 53.) Since at least these aspects of the causes of action appear to state a viable claim for fraudulent concealment and are pled with specificity, the Court cannot sustain the demurrer to the causes of action. (*Daniels, supra*, 246 Cal.App.4th at 1167; *PH II, Inc., supra*, 33 Cal.App.4th at 1682-1683.)

D. Demurrers Based on Economic Loss Rule and Uncertainty

The California Supreme Court recently addressed the economic loss rule in *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1 in the context of the intentional tort of fraudulent concealment. The Court pointed to a statement of the rule in another California Supreme Court case, *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979: "[A]s *Robinson* phrased the rule: '[t]he economic loss rule requires a [contractual party] to recover in contract for purely economic loss due to disappointed expectations, unless [the party] can demonstrate harm above and beyond a broken contractual promise.' [Citation omitted.]" (*Id.* at 20.) The Court in *Rattagan* explains that tort and contract obligations differ. "A tortfeasor is held liable not for violating a contract, but for violating an independent legal duty. [¶] [T]o be held liable in tort, a defendant must commit a tort. If all the defendant has allegedly done is violate the terms of the parties' contract, depriving the plaintiff of the benefits the contract ensures, the defendant's liability is limited by the contract. Broader tort liability only arises if a defendant violates an independent legal duty and the type of harm that ensues was not reasonably contemplated or accounted for by the contractual parties." (*Id.* at 37 [emphasis added].) *Rattagan* and *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979 held claims grounded in intentional misrepresentation or fraudulent concealment were not barred by the economic loss rule, to the extent the fraud or concealment violates an independent legal duty and is not based solely on a breach of the contract terms. (*Rattagan, supra*, 17 Cal.5th at 30-38 [explaining the *Robinson* decision] and 42-45 [holding economic loss rule does not bar claim for fraudulent concealment, not just claim for fraud based on affirmative misrepresentations].)

Plaintiff has alleged facts regarding the landlord's knowledge of the physical electric and water utility connections and meters for Plaintiff's Premises that resulted in Plaintiff paying for electric and water service for portions of the Property outside her Premises. Plaintiff has alleged facts supporting that the landlord violated an independent legal duty not to conceal material information about the physical Premises and the setup of the utility meters that allowed utility service to those other parts of the Property to be charged to Plaintiff's Premises though unrelated to her Lease or utility usage. For this reason, the economic loss rule does not bar the misrepresentation claims. The Court also finds that these causes of action are not so ambiguous or uncertain as to warrant sustaining demurrers to them for uncertainty. (*Lickiss, supra*, 208 Cal.App.4th at 1135; *A.J. Fistes Corp., supra*, 38 Cal.App.5th at 695.)

For these reasons, the demurrers to the third and fourth causes of action are **overruled**.

Demurrers to 5th C/A for Unjust Enrichment

Plaintiff's unjust enrichment claim is based on her allegations that she was overcharged or overpaid for CAO, including the utility expenses not attributable to her Premises but incurred for service to other parts of the Property. (Compl. ¶¶ 59, 60.) For the reasons set forth above, even if Plaintiff's claims regarding the duty to provide a reconciliation of CAO charges, the calculation of the CAO charges, and the characterization of the line items listed in the invoices attached to the complaint is based on a misreading of those documents, the Court has concluded that the complaint alleges facts that support causes of action related to charging Plaintiff for utility usage of other parts of the Property based on concealed information regarding the electric line connected to her electric utility panel and the water meter on her Premises.

To the extent the excess service charges were incurred on a periodic basis within the statute of limitations for this cause of action, the claim is not completely barred by the statute of limitations under the continuous accrual doctrine. Defendants do not make any other specific arguments or challenges to this cause of action other than those addresses above. Defendants have also not cited any authority that the economic loss rule is a bar to an unjust enrichment claim, a form of equitable relief based on a quasi-contract theory. (See *Prakashpalan v. Engstrom, Lipscomb & Lack* (2014) 223 Cal.App.4th 1105, 1132 ["The elements for a claim of unjust enrichment are 'receipt of a benefit and unjust retention of the benefit at the expense of another.' [Citation omitted.] 'The theory of unjust enrichment requires one who acquires a benefit which may not justly be retained, to return either the thing or its equivalent to the aggrieved party so as not to be unjustly enriched.' [Citations omitted.]"].)

The demurrers to the fifth cause of action are **overruled**.

Demurrers to 6th C/A for Civil Theft

Plaintiff alleges a claim for civil relief under Penal Code section 496(c) based on a violation of Penal Code section 496(a). (Compl. ¶¶ 63, 64.) The factual basis for the claim is essentially the same as her claims for breach of contract and intentional and negligent misrepresentation, including an allegation that the landlord has been "stealing electricity" from her by having an electrical service line connected to her electrical panel in her Premises that serviced portions of the Property other than her Premises and not having a separate water meter for water used outside her Premises. (Compl. ¶¶ 65-67.)

A. Legal Background

Penal Code section 496(a) states: "Every person who buys or receives any property that has been stolen or that has been obtained in any manner constituting theft or extortion, knowing the property to be so stolen or obtained, or who conceals, sells, withholds, or aids in concealing, selling, or withholding any property from the owner, knowing the property to be so stolen or obtained, shall be punished by imprisonment in a county jail for not more than one year, or imprisonment pursuant to subdivision (h) of Section 1170." Penal Code section 496(c) allows civil relief for violation of the statute: "Any person who has been injured by a violation of subdivision (a) or (b) may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney's fees."

To state a claim for civil relief under Penal Code section 496(c), the plaintiff must allege "(i) property was stolen or obtained in a manner constituting theft, (ii) the defendant knew the property was so stolen or obtained, and (iii) the defendant received or had possession of the stolen property. [Citation.]" (*Siry Investment, L.P. v. Farkhondehpour* (2022) 13 Cal.5th 333, 354-355.) The Court in *Siry Investment* held that the provisions of Penal Code section 496 and its treble damages and attorneys' fees provisions, read "in their full and natural manner," make those forms of relief available where "property 'has been obtained in any manner constituting theft.' [Citation omitted.]" (*Id.* at 367.) The "theft" in that case involved "not trafficking of stolen goods, but instead, fraudulent diversion of a partnership's cash distributions." (*Id.* at 339.)

The civil theft claim is subject to a three-year statute of limitations. (Code Civ. Proc. § 338(a) [three years for an "action upon a liability created by statute"] or § 338(c)(1) [if theft treated as a form of

conversion].)

B. Demurrers Based on Statute of Limitations, Failure to Allege Sufficient Facts, Economic Loss Rule and Uncertainty

Defendants rely on the same arguments that the Court has rejected with respect to the misrepresentation claims. They make no specific arguments regarding this cause of action or its elements. For the same reasons, the Court rejects the demurrers on those grounds as to the sixth cause of action for civil theft under Penal Code section 496 claim. The allegations that the Landlord was "stealing" electric and water service for other parts of the Property by connecting an electrical service line to Plaintiff's Premises and not having a water meter on Plaintiff's Premises that resulted in Plaintiff being billed for and paying for utility services to parts of the Property outside her Premises state claims that are at least in part not barred by the statute of limitations based on the continuous accrual doctrine and not barred by the economic loss rule as they are based on a breach of duties independent of the Lease's contractual obligation. The general demurrers to this cause of action are **overruled** on this ground. The sixth cause of action is stated with sufficient facts to apprise defendants of the factual basis of Plaintiff's claim, and therefore the special demurrer for uncertainty is also **overruled**.

Demurrers to 7th C/A for Conversion

Plaintiff's cause of action for conversion is founded on two primary factual grounds. First, Plaintiff alleges the Landlord had a duty to provide reconciliations of the CAO for the preceding year under section 4.2(d) of the Lease, and if there was an overpayment by tenant, to provide a credit to Plaintiff. She alleges she has been overpaying CAO by \$1,097.16 per month for 86 months for which the Landlord has not issued credits despite her demand. (Compl. ¶¶ 72, 73.) She also alleges that she has been paying for electricity used by the Landlord or other portions of the Property, "estimated to be over \$100,000." (Compl. ¶ 74.)

A. Legal Background

To state a cause of action for conversion, Plaintiff must plead three elements: "(1) the plaintiff's ownership or right to possession of the property; (2) the defendant's conversion by a wrongful act or disposition of property rights; and (3) damages." (*Lee v. Hanley* (2015) 61 Cal.4th 1225, 1240 [quoting *Welco Electronics, Inc. v. Mora* (2014) 223 Cal.App.4th 202, 208].) A claim for conversion of money can be stated "if a specific sum capable of identification is involved." (*Farmers Ins. Exchange v. Zerin* (1997) 53 Cal.App.4th 445, 452 [emphasis added].) (See also *Voris v. Lampert* (2019) 7 Cal.5th 1141, 1151; *Weiss v. Marcus* (1975) 51 Cal. App. 3d 590, 599.) Conversion is subject to a three-year statute of limitations. (Code Civ. Proc. § 338(c)(1).)

B. Demurrers Based on Statute of Limitations, General Demurrer for Failure to State A Cause of Action, and Demurrer Based on Economic Loss Rule

The statute of limitations does not fully bar the cause of action as the facts allege periodic conduct some of which occurred within three years of the filing of the lawsuit. For the reasons stated in relation to the misrepresentation causes of action, having an undisclosed or concealed electrical line connected to Plaintiff's electrical panel and a water meter on Plaintiff's Premises that resulted in Plaintiff being billed for electrical and water usage outside her Premises alleges a violation of an

independent legal duty outside the terms of the Lease contract. Therefore, the claim is not barred by the economic loss rule.

The Court finds that the general demurrer to this cause of action should be **sustained**, however, for failure to allege facts sufficient to state this cause of action. The allegations do not support that there was a conversion of money in a "specific sum capable of identification" based on any CAOЕ overcharge as the allegations regarding "double billing" for CAOЕ charges is not supported by the Lease and the invoices as set forth above. Further, conversion based on the excess amounts of electricity and water Plaintiff was charged for does not allege a "specific sum capable of identification" under the case law. (*Farmers Ins. Exchange, supra*, 53 Cal.App.4th at 452; Compl. ¶ 74 [electricity payment "estimated to be over \$100,000"].)

The Court therefore **sustains** the general demurrer to the seventh cause of action for failure to allege facts sufficient to state a conversion cause of action. Though the Court has serious doubts that Plaintiff can allege facts to state a claim for conversion, the demurrer to this cause of action is **sustained, with leave to amend**. The Court need not reach the demurrer for uncertainty in light of this ruling.

Demurrers to 8th C/A for Accounting and CAOЕ Reconciliation

The eighth cause of action seeks an accounting for the CAOЕ charges under the Lease and CAOЕ reconciliations. She alleges generally that she demanded an accounting of the CAOЕ charges, but the landlord has "failed and refused" to provide the accounting. (Compl. ¶¶ 78-80.)

A. Legal Background

"Under our system of pleading, a cause of action for accounting need only state facts showing the existence of the relationship which requires an accounting and the statement that some balance is due the plaintiff." (*Brea v. McGlashan* (1934) 3 Cal.App.2d 454, 460.) (*See also Sass v. Cohen* (2020) 10 Cal.5th 861, 869.) Plaintiff's demand for an accounting and reconciliation of CAOЕ charges is founded on the Lease and thus on a written contract making the applicable statute of limitations four years. (Code Civ. Proc. § 337(a).)

B. Demurrers Based on Statute of Limitations, General Demurrer for Failure to State A Cause of Action, and Special Demurrer for Uncertainty

Defendants do not make any specific arguments directed to the accounting cause of action other than their argument that the cause of action is founded on a misreading of the Lease as to what triggers the landlord's obligation to render a reconciliation of the CAOЕ. The Court agrees that Plaintiff's interpretation of Section 4.2(d) is not one to which the Lease is reasonably susceptible; the Lease allows the landlord to bill CAOЕ based on estimated expenses and places the burden on the tenant to make a written demand for a reconciliation of the actual CAOЕ expenses, which the tenant can demand no more than one time per year. (Compl. Exh. A [Lease Section 4.2(d).])

Nevertheless, Plaintiff alleges that she has made a demand for an accounting, and defendants have cited no authority that Plaintiff as a tenant is not entitled to an accounting of the amounts she was charged for CAOЕ, at least for a time period within the statute of limitations based on the continuous accrual doctrine. Defendants do not argue, and do not cite any authority that would support, that a

failure to demand an accounting or reconciliation of CAOEs under the Lease in periods preceding the four years before the complaint was filed means that Plaintiff is barred from seeking an accounting and reconciliation for periods within the four-year statute of limitations. The allegations and the Lease indicate that the amounts charged for the CAOEs may vary, as defendants themselves argue that the \$1,097.16 stated in the Lease in Section 1.7 was for the month of January 2022 only. Therefore, the amount of CAOEs charges are not expressly set forth in the Lease or are in a sum that can be made certain merely by a mathematical calculation under the Lease such that an accounting is not required. (*Teselle v. McLoughlin* (2009) 173 Cal.App.4th 156, 179.) From the face of the Lease and other allegations, the amount of actual CAOEs expenses are not available to the tenant except through an accounting or reconciliation from the landlord.

The demurrers to this eighth cause of action are **overruled**.

Demurrers to 9th C/A for Breach of the Covenant of Quiet Enjoyment, 10th C/A for Declaratory Relief, and 11th C/A for Injunctive Relief

Though Defendants make demurrers to these causes of action on various grounds, including the statute of limitations, the economic loss rule as to the declaration relief and injunctive relief causes of action, failure to state a cause of action, and uncertainty (Dem. pp. 5-6), defendants make no arguments specifically directed to these causes of action to support the Court sustaining their demurrers. "Contentions are waived when a party fails to support them with reasoned argument and citations to authority. [Citations omitted.]" (*Moulton Niguel Water Dist. v. Colombo* (2003) 111 Cal. App. 4th 1210, 1215.)

The complaint alleges facts indicating the parties had an ongoing, continuing landlord-tenant relationship until at least November 2025. In the ninth cause of action, Plaintiff alleges not only breach of the quiet enjoyment covenant in Section 38 of the Lease but also common law negligence and other grounds for this cause of action. (Compl. ¶¶ 84-88.) Even if claims based on conduct alleged in the ninth cause of action cannot be asserted for periods preceding the applicable statute of limitations, defendants cite no authority that an alleged continuing interference with Plaintiff's quiet enjoyment of the Premises, or negligent conduct related to the management of the Property existing during the period within the statute of limitations are barred. (*Institoris v. City of L.A.* (1989) 210 Cal. App. 3d 10, 13 [involving continuous nuisance claim].) They make no arguments as to why the factual allegations of that cause of action, which are not based on the allegations of the overpayment of CAOEs, do not state a cause of action on the theories alleged, or why the cause of action as pled is uncertain. Defendants cite no authority that the economic loss rule bars Plaintiff's theories of relief alleged in that cause of action to the extent they are based on independent common law or statutory duties as alleged by Plaintiff. (Compl. ¶¶ 84-88.) Defendants' demurrers are not supported, and their contentions that the ninth cause of action is deficient are waived. (*Moulton Niguel Water Dist., supra*, 111 Cal. App. 4th at 1215.)

Similarly, Defendants' demurrer to the claims for declaratory or injunctive relief is not addressed with specific argument or authority supporting the demurrers on any of the grounds stated. A declaratory relief claim states a cause of action even if, based on the allegations of the complaint, the facts support a judicial declaration adverse to the party seeking declaratory relief. (*Nede Management, Inc. v. Aspen American Ins. Co.* (2021) 68 Cal.App.5th 1121, 1130 [addressing an order sustaining a

demurrer to a standalone cause of action for declaratory relief as to whether plaintiffs' insurer had a conflict of interest that required appointment of *Cumis* counsel in an underlying tort lawsuit against the plaintiffs defended and settled by the insurer, determined adverse to plaintiffs]; *Bennett v. Hibernia Bank* (1956) 47 Cal.2d 540, 549–550 ["It is the general rule that in an action for declaratory relief the complaint is sufficient if it sets forth facts showing the existence of an actual controversy relating to the legal rights and duties of the respective parties . . . and requests that the rights and duties be adjudged. [Citation.] If these requirements are met, the court must declare the rights of the parties whether or not the facts alleged establish that the plaintiff is entitled to a favorable declaration."].)

Defendants' demurrer is similarly unsupported as it pertains to the injunctive relief cause of action. Defendants make no arguments as to why injunctive relief is barred by the statute of limitations in its entirety, in light of the continuous accrual doctrine as discussed above regarding the contract and misrepresentation claims. They cite no authority that injunctive relief, an equitable remedy, is subject to the bar of the economic loss rule. Based on the Court's ruling that Plaintiff has alleged facts sufficient to support some substantive claims for relief as set forth above, defendants have not made reasoned arguments supported by authority that injunctive relief is a remedy barred as a matter of law so as to support the Court sustaining a demurrer to the s cause of action.

The demurrers to the ninth, tenth, and eleventh causes of action are **overruled**.

20. 9:00 AM CASE NUMBER: L24-03879
CASE NAME: JPMORGAN CHASE BANK, N.A. VS. BRITTNEE CRUZ
***HEARING ON MOTION IN RE: VACATE JUDGEMENT**
FILED BY:

TENTATIVE RULING:

This case is re-assigned to Dept. 14, Hon. Kirk Athanasiou, Presiding. This motion is continued, *sua sponte*, to January 12, 2027 at 9:00 a.m. in Department 14, which is located at the George D. Carroll Courthouse, 100 37th St., Richmond, CA 94805. Parties are ordered to appear in-person or remotely via Zoom. No appearance is required on September 9, 2026.

21. 9:00 AM CASE NUMBER: N26-0485
CASE NAME: PETITION OF:JOSE EFREN GRAJEDA
HEARING ON PETITION IN RE: FOR AN ORDER RELIEVING PETITIONER FROM GOVERNMENT ENTITY CLAIM FILING REQUIREMENTS
FILED BY:

TENTATIVE RULING:

The Court continues the hearing on this motion, *sua sponte*, to October 14, 2026 at 9:00 a.m. Briefing is closed. No appearance is required at the hearing on September 9, 2026.

22. 9:00 AM CASE NUMBER: N26-0851

CASE NAME: PETITION OF:LVNV ASSISTANCE, LLC

HEARING IN RE: INITIAL PETITION FILED

FILED BY:

TENTATIVE RULING:

Summary

On June 7, 2015, Erik Hornbuckle ("Hornbuckle"), who was a minor at the time of the incident, was attacked by a dog when he visited the home of a family friend. He suffered significant facial wounds, including a laceration to his face, eyes and cheek. Through his guardian *ad litem*, Hornbuckle settled this matter with the defendants and entered into a compromise of his claim as a minor. The settlement included a single-premium deferred annuity purchased with the proceeds of the settlement, \$170,419.89. The annuity contemplated a structure settlement that paid funds to Hornbuckle until he turned 30. Hornbuckle now seeks to convert the structured settlement into a one-time payout.

Petitioner LVNV Assistance LLC, a Delaware Company, seeks approval of the transfer of the structured settlement amounts as set forth herein. **Petitioner's counsel is ordered to appear. Mr. Erik Hornbuckle is ordered to appear.** Appearance may be made remotely.

Background

The underlying structured settlement was established to resolve a tort claim involving Erik Hornbuckle, who was a minor at the time of settlement but has since reached majority. He is now 19. The settlement provides for semi-annual payments of \$15,000 commencing January 5, 2025 (age 18) and continuing for four years through July 5, 2028, plus lump sums of \$40,000 due January 5, 2032 (age 25) and \$83,062.18 due January 5, 2037 (age 30). All payments are guaranteed and funded by an annuity purchased from Metropolitan Tower Life Insurance Company, at a cost of \$170,419.89 to fund total guaranteed payouts of \$243,062.18.

Petitioner LVNV Assistance, LLC now seeks approval to transfer payment rights totaling **\$183,062.18**, specifically excluding the first four semi-annual payments (apparently already paid or retained by the Hornbuckle). The transferred payments consist of four remaining semi-annual \$15,000 payments from January 5, 2027 through July 5, 2028 (\$60,000 total), the \$40,000 age-25 payment, and the \$83,062.18 age-30 payment. In exchange, Hornbuckle will receive a lump sum of **\$105,000.00**, with no deductions for fees or commissions.

The financial structure reveals a discount rate of 10.15% applied to determine the purchase price, compared to the IRS valuation rate of 4.60% used to calculate a present value of \$138,640.97. The quotient of 75.73% indicates the Hornbuckle receives approximately 76 cents per dollar of present value, representing an effective annual interest rate of 10.15% if characterized as a loan. This substantial spread between the IRS valuation rate and the transaction discount rate results in the Hornbuckle forfeiting \$78,062.18 in nominal future value.

Jurisdiction is predicated on California Insurance Code § 10135(c), alleging either that the Hornbuckle was domiciled in California when the transfer agreement was signed, or alternatively, that the Hornbuckle was domiciled in a state without a structured settlement transfer statute while either MetLife Assignment Company, Inc. (the obligor) or Metropolitan Tower Life Insurance Company (the annuity issuer) maintains California authorization. Both insurance entities are authorized to do

business in California.

The petition invokes the statutory framework of California Insurance Code §§ 10134-10141.5 and 26 U.S.C. § 5891(b)(2)(A), which require the court to find that the transfer is "fair and reasonable and in the best interests of the Hornbuckle" considering any dependents, and that it complies with applicable law without contravening court orders or statutes. The petition alleges satisfaction of these standards under §§ 10137(a)(1), 10139.5(a)(1), and 26 U.S.C. § 5891(b)(2)(A)(ii), but provides minimal substantive justification for how the 10.15% discount rate serves the Hornbuckle's best interests.

Procedural compliance allegations include: (a) written advice to seek independent professional advice with waiver or receipt documented per § 10139.5(a)(2); (b) provision of disclosure statements complying with § 10136(b) and transfer agreement compliance with §§ 10136(c) and 10138 per § 10139.5(a)(3); (c) Hornbuckle's understanding of terms per § 10139.5(a)(5); (d) Hornbuckle's knowing waiver of cancellation rights per § 10139.5(a)(6); and (e) notification to Hornbuckle of the right to independent counsel/accountant/actuary with transferee's obligation to pay fees up to \$1,500 regardless of outcome per § 10139.5(h). The petition also alleges compliance with § 10139.5(f)(2) notification requirements and attachment of required documents including prior petitions, transfer agreement, disclosure statement, dependents' listing, annuity contract, qualified assignment, and underlying settlement agreement.

The petition acknowledges the underlying settlement contains anti-assignment language but cites *Henderson Receivables Origination LLC v. Sioteco* (2009) 173 Cal. App. 4th 1059, for the proposition that such provisions do not bar court-approved transfers where no interested parties object. This appears legally correct under California precedent, provided all statutory requirements are met and the court independently approves the transfer.

Analysis

While the petition facially alleges compliance with all statutory requirements, several concerns warrant scrutiny before granting approval.

First, the 10.15% discount rate appears to significantly exceeds market rates and the IRS valuation benchmark, resulting in a substantial reduction from the \$138,640.97 present value to the \$105,000 purchase price.

Second, the court is concerned whether Hornbuckle, who is only 19 years old, received independent professional advice specifically addressing whether this discount rate is commercially reasonable, and whether the Hornbuckle understands he is forfeiting approximately \$78,062.18 in future value (the difference between the \$183,062.18 face value of transferred payments and the \$105,000 purchase price).

Third, the court seeks confirmation the status of the first four semi-annual payments (totaling \$60,000) to ensure they were properly paid to the Hornbuckle and not subject to prior assignment or encumbrance.

While the petition appears technically sufficient to proceed to hearing, the Court would like to withhold approval contingent upon verification of the independent advice, confirmation of Hornbuckle's understanding of the financial impact, and evidence that the transfer serves the Hornbuckle's best interests despite the steep discount. Alternatively, the Court inquires whether Hornbuckle is sufficiently aware of the foregoing issues and is prepared to waive the benefit of future

value in exchange for a present liquidation of his structured settlement.

Ruling

1. The Court orders the appearance of Erik Hornbuckle, either in person or remotely, at the hearing in order for the court to address the above concerns with him.
2. The Court will issue a ruling at the hearing.
3. Counsel for LVNV is ordered to appear. Appearance can be done remotely.

Discovery Law & Motion

23. 9:01 AM CASE NUMBER: C24-01877

CASE NAME: ZACHARY MINOR VS. CRAIG HOWARD

***HEARING ON MOTION FOR DISCOVERY COMPEL FURTHER RESPONSES TO PLAINTIFF'S REQUESTS FOR ADMISSION, SET TWO**

FILED BY: MINOR, ZACHARY

TENTATIVE RULING:

Summary

This ruling addresses the following discovery motions, listed on Lines 23 and 24 of the Court's calendar:

1. Plaintiffs Zachary and Angela Minor's Motion to Compel Further Responses to Plaintiff's Request for Admissions, Set Two, filed April 14, 2026; and
2. Plaintiffs Zachary and Angela Minor's Motion to Compel Further Responses to Plaintiff's Special Interrogatories, Set Two, filed April 14, 2026.

The Court has reviewed the motions and the accompanying "meet and confer" correspondence exchanged between Plaintiff Zachary Minor and counsel for Defendant Craig Howard. The Court notes that no opposition has been filed by Defendant.

However, the Court's records contain no Proof of Service demonstrating that Plaintiffs served either motion upon Defendant Craig Howard or his counsel of record, Gordon Rees.

Both motions are **dismissed** without prejudice.

Analysis

The Court is aware that Plaintiffs are proceeding without an attorney in their lawsuit. However, a self-represented party "is to be treated like any other party and is entitled to the same, but no greater consideration than other litigants and attorneys." *Williams v. Pacific Mutual Life Ins. Co.* (1986) 186 Cal.App.3d 941, 944. Thus, as is the case with attorneys, self-represented litigants must follow correct rules of procedure. *Nwosu v. Uba* (2004) 122 Cal.App.4th 1229, 1246-1247; see also *Rappleyea v. Campbell* (1994) 8 Cal.4th 975, 984-85 ("mere self-representation is not a ground for exceptionally

lenient treatment. Except when a particular rule provides otherwise, the rules of civil procedure must apply equally to parties represented by counsel and those who forgo attorney representation."); see also *Leslie v. Board of Medical Quality Assurance* (1991) 234 Cal.App.3d 117, 121 (self-represented parties are held to "the same 'restrictive procedural rules as an attorney'"). Self-represented litigants are not entitled to special treatment and are required to follow the procedural rules that govern civil litigation. *McComber v. Wells* (1999) 72 Cal.App.4th 512, 522-523.

Nevertheless, "[t]rial judges must acknowledge that in *propria persona* litigants often do not have an attorney's level of knowledge about the legal system and are more prone to misunderstanding the court's requirements.' [Citation.] When one party has counsel and the other does not, the trial court 'should monitor to ensure the in *propria persona* litigant is not inadvertently misled, either by the represented party or by the court. ... [S]pecial care should be used to make sure that verbal instructions given in court and written notices are clear and understandable by a layperson. This is the essence of equal and fair treatment, and it is not only important to serve the ends of justice, but to maintain public confidence in the judicial system.'" *Petrosyan v. Prince Corp.* (2013) 223 Cal.App.4th 587, 594.

Applied here, there is no evidence that Plaintiffs were misled by the Court or Defendants. Indeed, the Court's prior rulings and orders to comply with her discovery obligations in previous motions set forth compliance dates.

The record of proceedings reflect that Plaintiff did not serve either motion on Defendant through his counsel of record. As such, the Court is without jurisdiction to hear either motion.

Ruling

Both motions are **DISMISSED WITHOUT PREJUDICE** for failure to effectuate service as required by law.

24. 9:01 AM CASE NUMBER: C24-01877

CASE NAME: ZACHARY MINOR VS. CRAIG HOWARD

***HEARING ON MOTION FOR DISCOVERY COMPEL FURTHER RESPONSES TO PLAINTIFFS' SPECIAL INTERROGATORIES, SET TWO**

FILED BY: MINOR, ZACHARY

TENTATIVE RULING:

See Line 23.

Law & Motion

Add On

25. 9:00 AM

CASE NUMBER: C24-01760

CASE NAME: ACD-TI OAKLEY LLC VS. SUMMER LAKE OWNERS ASSOCIATION

HEARING ON SUMMARY MOTION FILED BY DEFENDANT SHEA HOMES LIMITED PARTNERSHIP
FILED BY:

TENTATIVE RULING:

Before the Court is Defendant Shea Homes Limited Partnership (“Defendant” or “Shea Homes”) motion for summary judgment or in the alternative summary adjudication. The Motion is directed toward Plaintiff ACD-TI Oakley, LLC (“Plaintiff” or “ACD”)’s Complaint for Nuisance, Trespass, and Contribution.

As a threshold issue, the Court notes that there are procedural defects in both the Notice of Motion and Separate Statement. A separate statement seeking summary adjudication must state verbatim the noticed issues from the notice of motion at the beginning of each issue for summary adjudication. (See Calif. Rules Court, rule 3.1350, subd. (b); *Truong v. Glasser* (2010) 181 Cal.App.4th 102, 118.) Here, Defendant’s notice is not organized by cause of action or issue; instead, it has two enumerated grounds (the first dealing with both Plaintiff’s causes of action for nuisance and trespass and the second dealing with Plaintiff’s cause of action for contribution) with multiple sub-grounds within. Defendant’s Separate Statement is not organized by either cause of action or issue.

The court’s power to deny summary judgment on the basis of failure to comply with California Rules of Court, rule 3.1350 is discretionary, not mandatory. (See *Cadlo v. Owens-Illinois, Inc.* (2004) 125 Cal.App.4th 513, 523; cf. *San Diego Watercrafts, Inc. v. Wells Fargo Bank* (2002) 102 Cal.App.4th 308, 315–316.) In lieu of denying the motion based upon a defective notice and separate statement, the Court elects to treat the motion as one for summary judgment only.

For the following reasons, the motion is **granted**.

Legal Standard on Summary Judgment

A motion for summary judgment is properly granted only when “all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law.” (Code Civ. Proc. § 437c, subd. (c).) A defendant may bring a motion on the ground the plaintiff cannot prove one of the required elements of the case or there is a complete defense to the action. (Code Civ. Proc. § 437c, subds. (o)(1), (2) & (p)(2); *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 849.)

To carry its initial burden when the motion is directed to the plaintiff’s case rather than an affirmative defense, the defendant must present evidence that either negates an element of the plaintiff’s cause of action or shows that the plaintiff does not possess, and cannot reasonably obtain, evidence necessary to establish at least one element of the cause of action. (*Aguilar*, supra, 25 Cal.4th at pp. 853-854.) Only after the defendant carries that initial burden does the burden shift to the plaintiff “to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto.” (Code Civ. Proc. § 437c, subd. (p)(2).)

Courts “liberally construe the evidence in support of the party opposing summary judgment and resolve doubts concerning the evidence in favor of that party.” (*Dore v. Arnold Worldwide, Inc.* (2006)

39 Cal.4th 384, 389.)

Brief Factual Background

Plaintiff purchased the undeveloped Subject Property from Bethel Island LLC in December 2018 for the purpose of developing a residential real estate project. (Complaint at ¶ 6.) Defendant Shea Homes Limited Partnership developed the Summer Lake South Subdivision adjacent to the Subject Property and is the predecessor of Defendant Summer Lake Owners Association. (Complaint at ¶¶ 3, 4.) The Complaint alleges that in the Summer Lake South subdivision there is a lake water feature that collects flood and stormwater runoff from that subdivision and discharges those waters onto the Subject Property. (*Id.* at ¶ 12.) Specifically at issue in this case is an “Outfall Structure” and associated rip-rap which Plaintiff alleges “collects stormwater from the Defendant HOA’s Lake feature and directs that stormwater via the lake water discharge pipes to the Ditch that exists solely upon the Subject Property which is owned by Plaintiff.” (*Id.* at ¶ 14.)

Plaintiff also alleges in its Complaint that “[i]n order to complete the residential project on the Subject Property, the Plaintiff is required to design a drainage system that complies with the overall drainage plan for the City of Oakley. The drainage plan requires either a new in-tract pump station along with an upgrade to the existing Pump Station #4, or a more substantial or complete replacement of the existing Pump Station #4.” By its Complaint, Plaintiff seeks removal of the Outfall Structure and associated rip-rap or alternatively a determination that Defendants “are equitably required to contribute to the \$5.5 million dollar cost to upgrade Pump Station #4[.]” (Prayer at ¶¶ 1-2.)

Analysis

Statute of Limitations

First, Defendant argues that Plaintiff’s nuisance and trespass claims are barred by the three-year statute of limitations in Code of Civil Procedure section 338(b) because the Outfall Structure and associated rip-rap were constructed no later than 2006.

Trespasses may be continuing or permanent. (*Starrh & Starrh Cotton Growers v. Aera Energy LLC* (2007) 153 Cal.App.4th 583, 592.) “A permanent trespass is an intrusion on property under circumstances that indicate an intention that the trespass shall be permanent.” (*Id.*) In cases with permanent trespasses, “the law considers the wrong to be completed at the time of entry and allows recovery of damages for past, present, and future harm in a single action, generally the diminution in the property’s value.” (*Id.*) The three-year statute of limitations “begins to run at the time of entry.” (*Id.*) “[A] continuing trespass is an intrusion under circumstances that indicate the trespass may be discontinued or abated. In these circumstances, damages are assessed for present and past damages only; prospective damages are not awarded because the trespass may be discontinued or abated at some time, ending the harm.” (*Id.*) “Continuing trespasses are essentially a series of successive injuries, and the statute of limitations begins anew with each injury.” (*Id.*)

Plaintiff argues in opposition that “the abatability of the Outfall Structure is a question of fact for the jury to decide and Shea Homes’ Motion should be denied on this ground alone.” (Opp. at 12:9-12 [citing *Mangini v. Aerojet-General Corp.* (1996) 12 Cal.4th 1087, 1101 (“*Mangini II*”).]) While the general principal is correct, it is limited to nuisance arising from contamination. (See, e.g. *Starrh*, *supra*, 153 Cal.App.4th at p. 597, which cites *Shamsian v. Atlantic Richfield Co.* (2003) 107 Cal.App.4th 967, 980 [whether contamination is a permanent or continuing nuisance is generally a question of fact], citing *Mangini v. Aerojet-General Corp.* (1991) 230 Cal.App.3d 1125, 1148 (“*Mangini I*”) [whether contamination by toxic waste is a permanent or continuing injury is ordinarily a question of fact

turning on the nature and extent of the contamination].) This case does not arise from allegations of contamination.

Where there is a permanent trespass to land, the statute of limitations as to the entire cause of action begins to run upon creation of the trespass. (*Bertram v. Orlando* (1951) 102 Cal.App. 2d 506, 507-8.) “[T]he encroachment of a building obviously intended to be permanent upon the soil of another is permanent trespass and ... the cause of action based thereon is barred by Code Civ. Proc., sec. 338, Subd.2 in three years.” (*Id.*, 102 Cal. App. 2d at 509.)

Notably, as the Supreme Court noted in *Spaulding v. Cameron* (1952) 38 Cal.2d 265, 267, “[t]he clearest case of a permanent nuisance or trespass is the one where the offending structure or condition is maintained as a necessary part of the operations of a public utility.”

In *Spar v. Pacific Bell* (1991) 235 Cal.App.3d 1480, the defendant utility company voluntarily removed underground telephone conduits, lines and manholes before trial. (*Id.* at p. 1482.) Notwithstanding their removal, the court concluded the structures had the characteristics of a permanent nuisance. (*Id.* at p. 1486.) The structures were intentionally placed to provide indefinite service to the public, their installation and removal required considerable effort and heavy equipment, and the public utility could have kept the structures by paying fair compensation. (*Ibid.*)

The court in *Capogeannis v. Superior Court* (1993) 12 Cal.App.4th 668 relied on the *Spaulding* case in addressing whether a nuisance was abatable: “[I]t would be a rare case in which an alleged nuisance could not be abated were countervailing considerations (such as expense, time, and legitimate competing interests) disregarded. Thus, for example, in a strictly literal sense even a nuisance represented by an encroaching building or an underlying public utility pipeline might be discontinued or abated, ‘at any time,’ by tearing down the building or digging up the pipeline. But as *Spaulding* makes clear, it was for just such situations that the concept of permanent nuisance, as an exception to the preexisting rule that all nuisances should be treated as abatable and thus continuing, was developed: Regardless of literal abatibility, where as a practical matter either abatement or successive lawsuits would be inappropriate or unfair then the nuisance may be regarded as permanent and the plaintiff relegated to a single lawsuit, subject to a single limitation period, for all past and anticipated future harms. . . . Because a literal answer to the question whether a particular nuisance can be discontinued or abated will not invariably serve the purposes of the rules as discussed in *Spaulding*, the discontinued-or-abated rubric should be regarded as no more than a convenient shorthand for the fundamental considerations *Spaulding* outlined.” (*Capogeannis, supra*, at p. 678.)

Here, Defendant has adduced evidence that the Outfall Structure is designed to be a component of the stormwater drainage infrastructure under Reclamation District 799’s jurisdiction. (See Hofer Decl. at ¶ 14 [“The outfall consists of a pipe that penetrates the interior levee, terminating in a concrete discharge box (or ‘head wall’) with surrounding riprap rock. ... The outfall was designed to be, and is, a permanent component of the stormwater drainage infrastructure.”]; Ex. 16 at AOE-0233 [“The Summer Lake South development is installing a system of underground storm drain pipelines to collect and convey the runoff from the site. Storm drainage also sheet flows to the lakes, through the lake system filters. The system of storm drain pipelines connects to a central lake. This man-made lake will collect and detain the runoff from the site. The lake system is constructed with several means of filtration, including both mechanical and biofiltration systems to clean the project runoff. The clean runoff will then be pumped from the lake to the existing facilities owned and maintained by RD 799.”], AOE-0269–0271 [describing in-tract storm drain improvements and “Drainage Master Plan.”]; Ex. 3 § 11.J(ii) AOE-0124–0125 [Agreement Relative to Cypress Lakes Subdivision Between Shea Homes and

Reclamation District 799] [stating that the Reclamation District is responsible for maintenance of “the District’s ditch along the south property line” and “operation and maintenance of Pump Station #4.”]; Ex. 18 ¶ 15 at AOE-0404 [Amendment to Agreement Relative to Cypress Lakes Subdivision Between Shea Homes and Reclamation District 799] [stating that “The lake outfall structure design was approved by the District with the provision that any subsequent erosion must be repaired and the structure modified to prevent future erosion. Developer is to provide a warranty to cover the outfall structure beginning on the Effective Date of this Amendment and running for one year.”].)

Plaintiff attempts to dispute this fact with terms of a Proposed Easement that was never executed or recorded between Shea Homes and Reclamation District 799. This is insufficient to create a genuine dispute of material fact as to whether the outfall structure is a component of the stormwater drainage infrastructure under RD 799’s jurisdiction (and therefore a permanent nuisance under *Spaulding*.)

Whether the statute of limitations runs from the date the outfall was constructed (2006) (UMF 19) or the date Plaintiff purchased the Biggs Parcel (2018) (UMF 24), more than three years have elapsed before Plaintiff filed their Complaint (2024).

Because the Court concludes that Plaintiff’s claims against Defendant for trespass and nuisance are barred by the statute of limitations it need not reach Defendant’s additional arguments.

Contribution

Defendant moves for summary judgment on Plaintiff’s claim for contribution on several grounds. First, Defendant argues that there is no actual or alleged joint liability between ACD and Shea Homes that could support a claim for contribution.

Contribution is a creature of statute, specifically Code of Civil Procedure section 875, which provides:

- (a) Where a money judgment has been rendered jointly against two or more defendants in a tort action there shall be a right of contribution among them as hereinafter provided.
- (b) Such right of contribution shall be administered in accordance with the principles of equity.
- (c) Such right of contribution may be enforced only after one tortfeasor has, by payment, discharged the joint judgment or has paid more than his pro rata share thereof. It shall be limited to the excess so paid over the pro rata share of the person so paying and in no event shall any tortfeasor be compelled to make contribution beyond his own pro rata share of the entire judgment.
- (d) There shall be no right of contribution in favor of any tortfeasor who has intentionally injured the injured person.
- (e) A liability insurer who by payment has discharged the liability of a tortfeasor judgment debtor shall be subrogated to his right of contribution.
- (f) This title shall not impair any right of indemnity under existing law, and where one tortfeasor judgment debtor is entitled to indemnity from another there shall be no right of contribution between them.
- (g) This title shall not impair the right of a plaintiff to satisfy a judgment in full as

against any tortfeasor judgment debtor.

(Code Civ. Proc. § 875.)

Contribution requires a showing that one of several joint tortfeasor judgment debtors has paid more than a pro rata share of a judgment. Here, there is none. Plaintiff does not appear to dispute this in opposition; instead, Plaintiff argues both that it “seeks financial contribution for the upgrade to Pump Station #4 in the alternative to injunctive relief” (Opp. at 17:17-18 [citing Complaint at ¶ 2]) and that the 2005 Reimbursement Agreement entitles it to contribution. Both arguments are grounded in the 2005 Reimbursement Agreement and sound in contract. (Opp. at 23:24-26 [“The 2005 Reimbursement Agreement expressly contemplated reimbursement from future developers and calculates the proportional share Pump Station #4 upgrade costs if the Subject Property *is not* developed, and if the Subject Property *is* developed.”] [emphasis original].)

However, the Reimbursement Agreement expired by its own terms in August 2020. (Ex. 13 § 4 at AOE-0173 [“The term of this Agreement for Reimbursement is fifteen years from the date first above written, and upon the expiration of such term, this Agreement for Reimbursement shall be terminated and no further reimbursement shall be made.”].) Additionally, there is no indication on its face that Plaintiff was intended as a third-party beneficiary under the contract. The claim for contribution fails.

For the foregoing reasons, Defendant is entitled to Summary Judgment.

Evidentiary Objections

The Court rules only on those objections material to the Court’s ruling on the motion for summary judgment. (Code Civ. Proc. § 437c(q).) Here, there were none.